Dear Ms. Countryman,

We have been investigating the OCC's liquidity management plans for some time now.[1] I have great concern over the proposed amendments as someone deeply self-interested in the American financial system functioning[2] so that my grandparents might enjoy their golden years without economic protection.[3] Should this operational change come into effect, "the stability of the broader financial system" could be placed at great risk for self-seeking "execution of the facility on commercially acceptable terms."[4]

I will fully explain my perspective here as concisely as possible given the present time constraints.[5] Getting these methodologies right means so much to me personally because I've seen the pain they can cause bonafide individual investors. As an anecdotal example, might I share the investing story of a close friend, Tim?

During the month of January 2021, Tim had some of his last few thousand dollars in Robinhood, invested in far out-of-the-money GameStop calls. With contracts expiring January 29, he received a margin call three days before expiration via email. As staff understand, a major event occurred two days later when large swaths of the industry stopped investors from acquiring shares or options contracts, limiting accounts to position-close only (the "PCO event").[6]

Obviously, markets can't function when only one side of transaction volume may be expressed through exchange.[7] But Tim had a different problem with his OCC clearing member.[8] The margin call in question was sent as an inconspicuous "digital communication notice" reviewable upon logging into a brokerage system.

After downloading the PDF from a "secure site,"[9] my friend was told they needed to deposit $50,000 within 24 hours. At this point, the position had an unrealized gain of $60,000; Robinhood was preparing Tim's account to take full delivery of the contracts' shares at expiration. Unfortunately, even if he had this money available, the present financial system makes it very challenging for individuals to transfer large sums of funds in short timeframes.[10]

When Tim failed to immediately deposit more than ten times the initial cash in his account, Robinhood liquidated the position for only $5,000. They justified this manipulative central action by valuing the contracts at the time of the margin-call email. This resulted in a substantially different valuation from the marketable secondary value of the contracts when they were confiscated from his account on January 28.

Investors simply shouldn't need to watch their brokers withdraw their profits from their own account, as happened to Tim in February. But this asset seizure is explicitly presently enabled by the letter of the law in all 50 states. Might the Commission consider superseding these weak investor protections through 15 U.S.C. § 78q-1(f)?

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1. *See generally* PREV. Capitalized phrases or acronyms largely defined therein. The community at large greatly appreciated the Commission's diligence leading up to the OCC's withdrawal of proposed changes. *See, e.g.,* a community hub at https://wooten.link/join.
2. *See generally,* my comments in response to the incredible recent staff actions establishing a robust technical filing interface, *available at* https://www.sec.gov/comments/s7-15-23/s71523-301019-767522.pdf.
3. *Id.* at § II.B.d.
4. *See* the advance release as adopted in the conformed filing in Exhibit 1A at 90 FR 10734–38, *available at* https://www.govinfo.gov/content/pkg/FR-2025-02-26/pdf/2025-03071.pdf. <!-- todo: compare from here and X (https://www.sec.gov/files/rules/sro/occan/2025/34-102462.pdf) later -->
5. I appreciate the opportunity to comment on this advance notice which was brought to my attention by the community slightly over a week ago. Additionally, our community review process added a few days of processing to ensure consensus on the views presented. *See infra* § 3 for a discussion of these implications after the comment presents material information related to the consideration of this notice.
6. *See generally infra* § 1.2.4. Specific references are available *infra* notes 74, 75, and 152, *inter alia*. OCC itself recognized this sequence of events *infra* note 44 at 14, stating that the corporation's management had to override the approved, tested, and automated margining methodologies.
7. *See, e.g.,* collapse of a cryptocurrency which employed off-exchange market-making deals to exclusively purchase outstanding digital assets, *available at* https://youtube.com/clip/UgkxkjSFXLQtP9WnDp8Q7dd39_cGHwvosbaM. While this example showcases the inevitable collapse of an artificially-inflated price, perhaps staff might concur that the events leading up to the PCO event showcase the inevitable growth of a solvent corporation's shares after artificial deflation. Should the OCC's margining systems face risk of Wall Street insolvencies as contemplated *infra* note 44 at 4?
8. Robinhood discloses their self-clearing business affiliate in their Form S-1 at F-15, first Form 10-K at 24, and even the OCC lists them as a clearing member mid-way through 2020; *available at*

I. Systemic Accounting Idiosyncratic Risks

The Commission has spent far too many years taking massive efforts to reform our market's settlement failures.[11] Despite these great intentions, investors just over four years ago saw unprecedented volatility in a particular security with extremely high short interest. After the run-up of said company, the founder of Interactive Brokers appeared on a major media platform[12] to announce:

> We have come dangerously close to the collapse of the entire system.
>
> The rules, as they are today, [would require NSCC participants] to deliver to them [investors] 270 million shares, while only 50 million shares existed.
>
> There is a hole in the system that we immediately have to stop.
>
> — Thomas Peterffy

To ease this accumulated risk, staff know that clearing agencies historically faced stiff competition to timely settle outstanding transactions.[13] Indeed, it was precisely this market encouragement which I understand prompted DTC to beneficially dematerialize paper trading.[14] I would like to generally abstract away the convoluted National Market System ("NMS") settlement systems enabled by the DTCC,[15] the plethora of custodians participating in its clearing agencies, and the hundreds of intermediaries exchanging assets on top of its plumbing (a central "Custodial Structure").

Rather, I am concerned with the solvency of Cede & Co. ("Cede"). For years we have looked into the nuances of the Custodial Structure, which ends in all terminuses at the behemoth partnership nominee. Thus, the hole in the system constantly rearing up through FTDs ultimately makes its way down to DTC's registered share of securities.

This is particularly concerning for me because "a creditor of the clearing corporation" in bankruptcy "has priority over the claims of entitlement holders."[16] Thus, investors could lose their portfolios should markets face a situation where "a clearing corporation does not have sufficient financial assets to satisfy both its obligations to entitlement holders" and its (participating) secured creditors.[17] I suspect these could be particularly devastating seizures given the interconnectedness staff fully understand in central clearing counterparty ("CCP") operations.[18]

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https://www.sec.gov/Archives/edgar/data/1783879/000162828021013318/robinhoods-1.htm, https://www.sec.gov/Archives/edgar/data/1783879/000178387922000044/hood-20211231.htm, and https://web.archive.org/web/20200701202545/https://www.theocc.com/Company-Information/Member-Directory, respectively. As further described *infra* note 82, the company claims these business practices made their service faster and more reliable. Indeed, presumably they had more discretion over Tim's position given their direct management of its risk exposure.

9. *See, e.g.*, the Commission's $45 million fine for inadequate data security, electronic communications, and Reg SHO reporting, *available at* https://www.sec.gov/newsroom/press-releases/2025-5. Ms. Countryman, your exceptional order, enabled by exceptional staff efforts, highlights one such case of gross cybersecurity vulnerabilities at ¶ 7. Later in ¶¶ 74–79, the order explains that millions of investors had their information stolen in an attack practically identical to one such breach over three months prior which resulted in a specific corrective action to block the type of software employed in the theft.
10. *See, e.g.*, discussion of a Bitcoin trade made a few years ago at PREV n.45. The price peaked seven months before my trade, and I was staring at the screen the moment the hourly candle topped on 14 Apr 2021, quite literally screaming at my computer that this was the start of the reversal down to the M-line. However, I had not anticipated the insane double-hammer squeeze-reversal of the past four days; thus, I hadn't transferred funds to make a much larger trade. Because this fiat-to-broker transaction took upwards of a week, I completely missed the trade.
11. *See, e.g.* Commissioner Luis A. Aguilar's meeting addressing double-digit outstanding Failures to Deliver ("FTDs") when investors acquired a 120% ownership stake in a discount online retailer, *inter alia*, given the failures of central netting, *available at* https://www.sec.gov/comments/s7-19-07/s71907-1436.pdf#page=3. *See also* written remarks *infra* note 163 from the CEO of such firm at the time, stating "a financial news organization suggests that of our approximate 6,000 owners, the top 50 own 106% of our stock" just before the share price halved.

At least a dozen state legislatures recently introduced proposed changes responding to control agreements common across securities loans.[19] However, advocates received significant pushback from banking interests given such a "claim of a creditor of a securities intermediary... has priority over claims of the securities intermediary's entitlement holders."[20] Does the Commission support the right of investors to their own portfolios as a due property law?

Before joining the Commission, Commissioner Hester Peirce wrote that "the combination of clearing mandates, government prescriptions regarding clearinghouse design, and government support for CCPs threatens financial stability."[21] Later, the article contemplates strategies to decrease the likelihood of an emergency Federal Reserve loan, citing at least three other CCP failures which would now mean "markets will not be able to function" in the Custodial Structure.[22] Ought we leave our entire capital market in the hands of one company?[23]

Luckily, transfer agents exist outside of these credit risks, acting as a safe haven for long-term investors who don't want exposure to securities lending, *inter alia*. Investors who own legal title to their own shares through a system for direct registration ("DRS") previously additionally received preferential treatment in cases where credit interests in the Custodial Structure were not clear.[24]

I have made material efforts to introduce a new sustainable system through an inter-agent Transfer Agent Depository ("TAD"). Such a system presently allows for the accurate and prompt settlement of debit-based securities transactions, ameliorating the unwarranted risks centralized in the Custodial Structure. Because examination staff reached out at the end of last month to discuss these matters further, I will not substantially elaborate on the secure marketplace function of a TAD.

Notwithstanding, I do hope staff continue contemplating blockchain technologies as a solution to the inadequacies of the Custodial Structure highlighted throughout. The exceptional work of all Commissioners leading market-structure change seems deeply aligned with historic jurisprudence from across the Nation.[25] In reminiscing over challenges with past commenters,[26] it's become clear that we need a new system which doesn't require the antiquated security entitlements of yesteryear’s Wall Street.

I.A. Glaring Legacy Accounting Inaccuracies

Our derivatives, banking, and financial system seem tightly intertwined with the Custodial Structure. Given my concerns over the stability of this system, justified by rulemaking last year,[27] I would like to discuss the downstream implications of an overreliance on a select few protocols. These can be open standards or proprietary corporate operations, ultimately leading to a concentration of risk for all investors given any

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12. Based on extensive diligence, Mr. Peterffy's sentiments over the past few decades closely resemble this quote, *available at* https://www.cnbc.com/2021/02/17/interactive-brokers-chairman-thomas-peterffy-on-gamestop-frenzy.html. *See, e.g.,* departing remarks from Commissioner Aguilar emphasizing remarks from Mr. Peterffy that "our markets are in a 'crisis,' and that 'order, fair dealing, and trust' need to be restored" in § II ¶ 2, *available at* https://www.sec.gov/newsroom/speeches-statements/us-equity-market-structure.
13. *See infra* note 140.
14. DTC and DTCC defined *infra* §2.4.
15. *Id.*
16. *See* Uniform Commercial Code ("UCC") § 8-511(c), as presently adopted in all 50 States.
17. *Id.*
18. *See, e.g.,* last year's annual financial statements for NSCC, stating an approximately equivalent amount of assets and liabilities, *available at* https://www.dtcc.com/-/media/Files/Downloads/legal/financials/2024/NSCC-Financial-Statements-Annual-2024.pdf#page=4. At 27, the report references the "multilateral netting contract and limited cross-guaranty agreement with DTC, FICC and OCC," a risk mutualizer further expanded by industry arrangements *infra* note 105. Could the failure of only one of these intermediaries cripple all of their interoperability?
19. *See, e.g.,* six formalized change requests just this year in NH HB427, ND SB2364, SD HB1122, TN HB443, CT HB5849, and WY SF189 (all 2025); *available at* https://legiscan.com/NH/bill/HB427/2025, https://legiscan.com/ND/bill/SB2364/2025, https://legiscan.com/SD/bill/HB1122/2025, https://legiscan.com/TN/bill/HB0443/2025, https://legiscan.com/CT/bill/HB5849/2025, and https://legiscan.com/WY/bill/SF0189/2025, respectively. All these legislatures strike the exception to Main Street securities entitlement custody as discussed in the proposed bills. *See also* proposition questioning testimony in the third bill, stating "all those clients in the teeth of the crisis had no access to their accounts... that happened to the retail investors; it happened to the biggest, most sophisticated investors in the world that were in Lehman Brothers—so, big and small. The small investors: those accounts were eventually sold to another firm.

operational breakdowns.

Today's financial systems evolved by necessity from an antiquated paperwork-based system. As an anecdotal matter of example, my partner recently cashed in a few thousand dollars' worth of Series EE bonds in certificate form. Given our proximity to deposit-taking institutions open for our business outside of her busy working schedule, we drove over an hour to a nearby bank. We would need to make a similar trip to obtain a legacy medallion signature guarantee, as I understand the services of this particular banking business.

Once we arrived, it took at least three hours to deposit all of the bonds despite the fact that nobody else was in front of us in the teller line. First, my partner manually signed each of the paper slips representing a bond. Secondly, she gave the teller her Social Security number and address, both of which were on file with the institution. Then, we stood for hours while the gracious teller manually keyed in data about each of the individual bonds. Repeatedly during the exchange, they told us that a single keystroke error would invalidate the entire manual entry process, requiring slow and methodical data entry while a line amassed in the lobby for other tellers unable to help due to the nature of the computer security system.

Two months after this interaction, my partner received a letter on January 6, stating a savings bond "was redeemed for an incorrect amount." The actual amount redeemed was 40% less than originally credited, resulting in a deduction which overdrafted her account as $100 previously withdrawn turned into $59.76. The message was signed by the name "SSS" from the bank's "Centralized Operations." Does the Commission believe our financial system should rely on processes so routinely prone to human error?

I.A.1. More Shares Than Exist

Unfortunately, Wall Street's system of rehypothecation routinely "expands" the total number of shares floating in the market, akin to a bank lending out more dollars than in its reserves. This was not legally possible before the 1994 amendments to the UCC, as investors through securities intermediaries had a hindered property interest in their portfolios.[28] However, staff themselves readily disclose[29] now that: Short interest can exceed 100%—as it did with GME—when the same shares are lent multiple times by successive purchasers. If someone purchases a stock from a short seller and subsequently lends the stock out again, it will appear as if the stock was sold short twice for the purpose of the short interest calculation.

In fact, a single located stock being sold twice is the least of the problem. In 2018 the Federal Reserve published a detailed note [30] which described the use and re-use of collateral in extreme objective detail, providing not only a measure of the positives and negatives of the practice but the methods by which it is done. While rehypothication or locating shares for short positions can and does massively increase the amount of

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That is the only way they got access to their accounts again—it took some weeks and months. The institutional clients: unbeknownst to them, all of their Treasuries, which were their collateral—their dry powder to operate in this crisis—were taken by JPMorgan in the bankruptcy" as both the custodian and secured creditor for such assets given invocation of UCC Art. 8, *available at* https://sdpb.sd.gov/sdpbpodcast/2025/hco15.mp3#t=5640.

20. *See* UCC § 8-511(b), as presently adopted in all 50 States.

21. *See* law-review article responding, *inter alia*, to perspectives on central order clearing from Treasury Secretary Jacob Lew and former Chair and Commissioner Gary Gensler, *available at* https://engagedscholarship.csuohio.edu/cgi/viewcontent.cgi?article=3915&context=clevstlrev. As cited in note 4, Commissioner Gensler investigated the failure of Long-Term Capital Management without finding "good answers" to stop the spread of contagion which later manifested into the Great Financial Crisis ("GFC"). As staff know, File No. S7-23-22 later implemented a clearing mandate requiring more participant interaction which could involve substantial FICC risks.

22. *Id.* § II.F.

23. *See, e.g.,* earlier work discussing the materiality of securities lending in the bailout of American International Group, *available at* https://elischolar.library.yale.edu/cgi/viewcontent.cgi?article=10106&context=ypfs-documents. The paper concludes after extensively establishing that "securities-lending issues arose in regulated life-insurance companies" which needed the "discipline" of independent action, since "merely making sure that every entity has a regulator will not fix the financial markets." Might a more decentralized, localized, and autonomous strategic-planning market for organizational decisions best support the whole financial system as it rapidly evolves?

24. *See, e.g.,* investor class-action memorandum after an unfair management-led buyout, previously settled at a 20% premium over the original price, *available at* https://courts.delaware.gov/Opinions/Download.aspx?id=252690. Shareholders held valid claims against 49,164,415 shares which "substantially exceeded the 36,793,758 shares" available. While DRS investors received the full award amount,

liquidity available in the market (and ensures that a healthy market exists for the collateral itself), it also means that at any given moment in time one security can be attributed to multiple financial transactions simultaneously. The "cost" identified in the note is that each of those transactions are linked together in a "collateral chain" which ultimately "have the potential to propagate uncertainties and amplify fragility in times of market stress".

This is only possible because of the fungibility of omnibus shares concentrated under the singular hands of Cede. Frankly, there have been too many examples of public record discrepancies to warrant material substantiation in relation to its impact on OCC's margining operations.[31] One other prominent recent example of these factual inaccuracies can be trivially found in the bankruptcy of an issuer popular with individual investors. It went bankrupt two years ago with a disproportionate proportion of shares outstanding compared to those held under the Custodial Structure, according to centralized FAST declarative ownership data.

This fate is all too common for firms alleging wrongdoing on behalf of the Custodial Structure. Briefly, the firm declared Chapter 11 on April 23, 2023, and its bankruptcy documents two weeks later showed Cede as owning 776,404,408 common shares.[32] However, the issuer's books and records at the transfer agent recorded only 739,056,836 shares outstanding four days after the bankruptcy capitalization table.[33]

Thus, it would be impossible for all Cede claimants to bear rights to common stock in this enterprise. Given these same clearing members are the general participants at the OCC, I see the same inadequate *pro rata* rights challenge in the event of member insolvency. Namely, how can all Wall Street firms remain solvent if they collectively hold more entitlements to shares than exist?

I.A.2. Equivalent Outstanding Custodial Mishandling

In discussing these inaccuracies with engineers at CCPs,[34] I've become doubtful of their ability to reconcile the FTD issue. I believe recent events support this line of thinking,[35] which only exist because a trusted central actor like the OCC determines account balances in a single centralized ledger prone to corruption. Can we do better, so that all market participants play on the same field when analyzing material information such as the margin balances of clearing members?

The OCC falls squarely in this same risk centrality provision, which I found abundantly apparent from the remarks of the Deputy Governor for Financial Stability at the Bank of England in an FDIC meeting:[36]

> [T]here's very little CCP skin in the game when the losses are mutualized.
>
> ...the CCP rule book means it can effectively wind itself up without bankruptcy. The latter stages of

it is questionable whether all beneficial holders received due compensation through the custodial structure. The funds were sent to all record holders, but clearly some class members would need to receive reimbursement from a fraction of their holdings since Cede was the only registered owner which could create more share entitlements than true shares.

25. *Id.* n.1. Vice Chancellor J. Travis Laster laments the "top-down federal solution" rushed out after the Paperwork Crisis, highlighting the new opportunity where "[d]istributed ledger technology offers a potential technological solution" for "a single and comprehensive stock ownership ledger." We've developed such a technology from a grassroots open-source community further described *infra* § III.
26. *See, e.g.,* concerns of Leonard W. Burningham, Esq. over inaccurate securities deliveries which perpetuate in today's markets, *available at* https://www.sec.gov/files/rules/sro/dtc200302/lwburningham032203.txt. In orally discussing the adverse claims problems raised and case parties, it was apparent last week that much of this knowledge and recollection has been lost to time, as I'm sure could understandably happen with hardworking staff. But I will outline *infra* § 2 how the markets are getting more and more interconnected as feared by regulators, and thus the problems of perfected interests in UCC § 8-115 can materially harm investors.
28. *See infra* note 178 at 624. In the sentence just before § III on Systemic Risk, Facciolo explains how "Article 8 creates a new type of property interest that 'is not a claim to a specific identifiable thing; [rather] it is a package of rights and interests that a person has against the person's securities intermediary and the property held by the intermediary.'" He makes this statement with reference to the UCC adoption comments at § 8-503(d), which clearly state entitlements come without common-law property rights as "Article 8 also contains general adverse claim cut-off rules for the indirect holding system."
29. *See infra* note 75 n.75.
31. *See, e.g., infra* note 142.
32. *See* list of equity security holders under bankruptcy code, *available at* https://wooten.link/kroll-cede at 8. Cede's equity holdings are listed in duplicate, which we found particularly strange in discussion of another security with this clerical phenomenon, *available at* https://x.com/JFWooten4/status/1753471580842209390.

> that waterfall process could be systemically very damaging in the allocation of losses across the wider financial system.
>
> — Jon Cunliffe

Given the extreme complexity of trading systems in the Custodial Structure pre-CCP clearing, I have to believe that regulators will face an impossible task of uncovering an early failure event. If this goes awry like before, there doesn't seem to be very much we can do to save legacy credit systems. Disturbingly, past incidents were directly sidestepped by CCPs through manual risk takeovers which overrode margining rules at the risk of the financial system.[37]

The European Union noticed these risks two decades ago when they put together a Clearing and Settlement Legal Certainty Group to ask the Federal Reserve Bank of New York 58 questions about the new clearing ownership system under Article 8.[38] As made abundantly clear by David Rodgers Webb, the point of this exchange was to establish legal certainty not for investors, but for secured creditors of financial intermediaries relying on posted customer assets lent to bankers.[39] While we will dive into the ownership implications of these ruling interpretations in the next section, I find them paramount to introduce now since all of today's complex interrelated systems base their operations on this assumption that one central depository can manage the control records of all participants given legal title to securities.

One symptom of this central control over collateral has been the competition and fragmentation of trading venues, largely for the benefit of Wall Street firms seeking price improvement from public info:[40]

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33. *See* Form 10-K filed the next quarter, *available at* https://www.sec.gov/Archives/edgar/data/886158/000088615823000059/bbby-20230225.htm. At 2, the document reads: "The number of shares outstanding of the registrant's common stock (par value $0.01 per share) at May 9, 2023: 739,056,836."

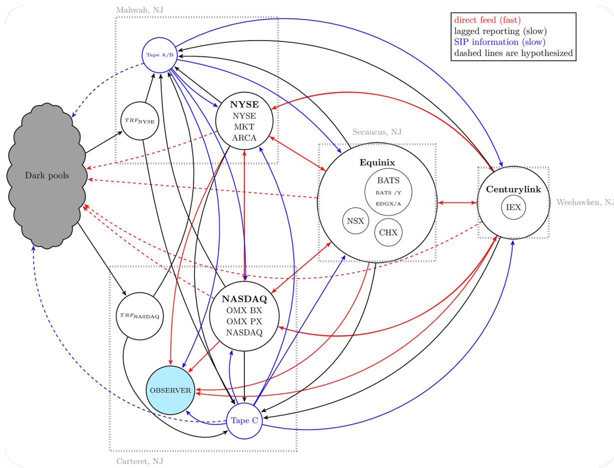
34. *See, e.g.,* notes from conversation with a DTCC engineer detailing post-trade failure-to-deliver operating flows, *available at* https://github.com/orgs/WhyDRS/discussions/1 n.10 link 3. I was particularly concerned with the documented use of CSV files at 2, reconciled through a manual end-of-day batch process reminiscent of 1970s mainframe technologies. I saw a similar pattern emerge in the conversation at 6, as error-prone manual reconciliation was pushed from Cede's books to clearing members.

35. *See, e.g.,* changing staff data positions related to responses to 25-00185-FOIA, suggesting that certain FTD information would harm market integrity. In speaking with the author of this request, it's become clear that they've been patiently waiting for answers last year because of a true care for market integrity. *Relevantly*, incomplete data from the few central providers such as *Id.* have historically failed to deliver prompt and accurate information to the Commission itself when heavily-shorted securities are in question. *See, e.g.,* a memorandum from the Office of Economic Analysis at note 1, stating that staff did not receive significant daily FTD information held by NSCC all the way back in 2006, *available at* https://www.sec.gov/spotlight/failstodeliver082106.pdf.

36. *See* Systemic Resolution Advisory Committee under the Division of Complex Institution Supervision and Resolution, with Cunliffe's discussion starting at the timestamp, *available at* https://youtu.be/0PtULsOtI2o?t=9311. Given "non-default losses could therefore wipe out the capital of the CCP and lead it to insolvency," I find it extremely questionable that the OCC desired to expand its emergency-resolution repurchasing parties to non-bank liquidity providers. We are almost facing the ultimate question of who should pay for Wall Street's massive procyclical losses.

37. *See supra* note 12.

38. *See* Financial Services Policy and Financial Markets questionnaire completed by the legal team of America's top central bankers, *available at* https://archive.org/details/ec-clearing-questionnaire.



Given there are more national exchanges transacting on platforms and no SIP price feeds, options have an even greater degree of various complexities which can create hidden system risks.[41] Previously, CCPs have responded to increased margin demands by waiving algorithmic risk deposits.[42] Might we consider briefly the operational power placed in the hands of a Timothy Cuddihy?[43]

An example of "insider activities" and centrality emerged when Robinhood received a $3.7 billion margin call despite only having access capital of $0.7 billion. Somehow, the firm made it through this day thanks to the sort of bureaucratic deference now afforded to OCC clearing members.[44] As the Commission knows, the House Committee on Financial Services found that the largest components of this collateral requirement included a Value-at-Risk ("VaR") charge of approximately $1.3 billion and an Excess Capital Premium ("ECP") charge of $2.2 billion.[45]

Over the two business days after this assessed charge, Robinhood had to reach out to Sand Hill to raise over $3.4 billion.[46] In remarking on the "apparent" public model released by the NSCC, the firm's CEO mimicked its Head of Data Science in calling collateral charges a black box.[47]

I have other comments about this event which I do not have time to elaborate on fully.[48] *See, e.g.*, reamrks of Vlad when they say Robinhood only raised $2 billion in venture capital beforehand, then they mention how the DTCC uses "a little bit of an opaque formula" when discussing the VaR formula, which "is not fully transparent" and "there are ways to reverse-engineer it, but it's not, kind of, publicly shared. And then there's a special component which is discretionary, so that kind of acts as a multiplier."

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39. *See* Webb's book specifically detailing the ins and outs of property-rights challenges, *available at* https://thegreattaking.com.
40. *See, e.g.,* work from The MITRE Corp., Tyler Gray, Brendan Tivnan, and Christopher Danforth reproduced under CC BY 4.0 (https://creativecommons.org/licenses/by/4.0/), *available at* https://doi.org/10.1371/journal.pone.0226968. Many of the eleven esteemed authors thereof represent two established American universities, and seven of them are affiliated with a 501(c)(3) established to advance national security and serve the public interest. Their findings reveal over $160 million of arbitrage profits stemming from latency ties between the complex exchange routes, securities information processors ("SIP"), and direct geographical feeds.
41. *See, e.g.,* use of married puts amongst a select few market participants to opportunistically extend their leveraged borrowings against a certain issue, *available at* https://wooten.link/married-put-mm-exemptions, https://wooten.link/hidden-shorts-data-pt2, and https://wooten.link/modifying-pledge-ownership. The last post specifically introduces the community to material, allowing FTD resets through the collateral loan program duly adopted in the related SRO change. While the amendment seems to attempt forced underlying delivery between the DTC and OCC, it also directly detracts from clearing members' available margin deposits during suspension.
42. *See, e.g.*, amendments to OCC's recovery and orderly wind-down plan which increase reliance on human judgment at the expense of actual margining algorithms, *available at* https://www.sec.gov/files/rules/sro/occ/2023/34-97785.pdf. "Rather than rely on a few of many possible events that could trigger a wind-down, the proposed revisions to the RWD Plan would move to a single WDP Trigger Event based on a determination by OCC's Board of Directors[,]" reads the approved release at 13. Should we trust the self-interested boardrooms of Wall Street with the solvent function of our financial system over and above proven algorithmic margin systems designed by at least dozens of staff engineers?
43. *See infra* note 100, placing billions of dollars in unilateral waivers in the deciding hands of one person. As staff know, these waivers were the difference between intra-day solvency for a broker-dealer who intentionally chose to handle their own clearing (and the associated risks) to promote business efficiency *infra* note 82. Should a firm not bear the economic consequences of taking on increased risk in the financial system to "eliminate [internalized] fees"?

Musk: "Discretionary meaning, it's just their opinion?"

Vlad: "Yeah..."

I.A.3. Other Thoughts: on Importance of Self-Custody

As the Commission knows and documented *infra* note 75, the broker's $3.7 billion obligation to the Custodial Structure placed the intermediary at risk for insolvency given their $700 million in free collateralizable assets. Accordingly, such CCP members, without public review or comment, elected to decrease obligations by $2 billion,[49] an amount of money available by means of emergency Wall Street fundraising, quite possibly placing the stability of the entire financial system at stake. Should we trust our most meaningful periods of market volatility, such as Trade 385, in the hands of systems subject to fat-fingering or human-processing errors?

Might we follow in the current Administration's objective "to maintain self-custody of digital assets," which are our familiar securities themselves?[50]

In accordance with this Executive interest in sectors related to support "stability of the financial system, individual privacy, and the sovereignty of the United States," I find it meaningful to consider the Congressional implications[51] of a shift toward decentralization.

The DTCC itself admits that the Custodial Structure "cannot guarantee that their orderly wind-down will not cause contagion within the financial system or that the stability of the U.S. financial system will not be impacted."[52]

I.A.4. Markets Bending for One Issuer

The extraordinary resilience of certain securities in early 2021 revealed just how far the broader financial system was willing to bend—nearly to the point of global fracture—to suppress one issuer. As detailed in the next paragraph, concerns voiced by senior clearing members highlight a troubling asymmetry: they acknowledge deep exposure to systemic CCP risk yet lack the direct control needed to manage it. If such concentrated vulnerabilities require tapping institutional money market funds during crises, could it be time to ask why Wall Street doesn't bear more of their own risk directly?

See supra note 36, *infra* § 2, and advance notice at n.17. Should the OCC really have access to large institutional money market funds if "we're going to be in a pretty heavy systemic crisis" where "a reservoir of pre-funded resources that can be accessed only in resolution might be necessary to enable CCP clearing

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44. *See* the SR-OCC-2024-014 Filing, *available at* https://www.sec.gov/files/rules/sro/occ/2024/34-101246.pdf n.42 (explaining how a bureaucratic Model Risk Working Group can manually tune margin system weights during heightened volatility, which proved detrimental in preempting risks in PREV § II.C.3). Two footnotes later, the OCC clarifies that this committee's judgment overrode an algorithm with "more than 200 individual risk factors" for periods of up to 190 days, a length of time certainly far enough to dwarf capital inadequacies seen in PREV § II.A.b. Lately, so many of OCC's rule changes ask for an operational deference to management (and redact key margining information) that I wonder if their CCP even plans to rely on GARCH should a crisis arise.
45. *See infra* note 74 at 20. The sub-subsection immediately preceding these disclosures explains how Robinhood leadership intentionally declined to properly model the week's margin requirements leading up to the PCO event. Just before this finding, House staff report that the firm's Head of Data Science did not bother reading the public formula for calculating collateral charges, and after the PCO event they simply resolved to using "Excel spreadsheets to model its NSCC collateral charge"—like a legacy transfer agent tracking shares.
46. *See* first capital raise of over a billion dollars the very next day through convertible notes from existing backers in an "emergency infusion," *available at* https://www.reuters.com/article/business/robinhood-raises-1-billion-of-fresh-funding-from-existing-investors-idUSKBN29X2ZN. *See also* second raise of $2.4 billion in another convertible-debt raise priced about a quarter below the IPO price sold to the public five months later, *available at* https://www.reuters.com/business/finance/robinhood-raises-another-24-bln-funds-investors-2021-02-01. All this centralized risk-seeking support came at a profound time in capital markets, and it now seems the OCC wants a guaranteed buyer of its own member deficiencies for the next crisis—thoughtfully sourced at money-market rates. Notably, Robinhood completed these investments one day before the DTCC's ECP exemption ended, but can we really predict when the next market downturn will conclude?
47. *See supra* note 45 nn.60 and 124–127. *See also* exchange between Vladimir Tenev and Elon Musk the day after the PCO event, *available at* https://www.youtube.com/clip/UgkxaLZNPl1Bby-1VVJ2ex4NLr4yZjRdzO4k.

service to continue to operate"? These are not unknown foreign risks which clearing members themselves are unaware of, so why then can these firms not deal with the risk management themselves if "[w]hen you talk to the clearing members at very senior levels, they say they're worried about the risk in CCPs and the fact that they are exposed to these risks, both the mutualized default and the non-default"? Cunliffe goes on to explain the conflict of interests between clearing members minimizing trade execution costs while having less direct influence over the CCP than ideal.

I.B. Continued Daily Manual Processes

In reviewing the operations of central custodians over the past year, I've been remarkably distraught by the level of manual human involvement and judgment present in margining calculations. Because of these thoughts, I requested staff share with our community and the public at large certain particularly hazardous methodology changes at a clearing firm and SRO last year.[53] Unfortunately, I have not been able to receive this information, especially as OCC tightens down on its public defense of why material submitted falls under an exemption from publication, which makes it more challenging to adequately examine detailed operational changes.

From this and many other events, some in our community interpret systemic underlying risks presented by the manual involvement of so many settlement middlemen. These concerns range from simple interfacing errors[54] to deeper quandaries over unpunished recurring erratic behavior from intermediaries such as Apex Clearing Corporation ("Apex"), which influence the business of so many broker-dealers.[55] Influence which quite directly but drastically unnecessarily forced brokers to deem retail investor accounts position close only ("PCO"), without warning, for a specific subset of securities.[56]

I.B.1. Block Transfer Trade Processing

As staff know, large institutions frequently trade outside of general public markets for their own business purposes. Indeed, dozens of such alternative trading venues run by corporations register with the Commission. The first of which was established 56 years ago during the Paperwork Crisis, three decades before official regulation defining the investor protections necessary from such business ventures.

In a House Financial Services Committee hearing last year, industry participants claimed that the Custodial Structure has moved on to much more automated systems.[57] "Before this transformation, the average person could easily understand how they functioned," said one representative from a broker and investment bank.[58] When discussing the 1990s, Mr. Schack also wrote that the contraction market "mostly was manual and slow, with heavy human intervention."[59]

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48. *Id.* Vladimir says they have "no reason to believe" Citadel is in charge of the DTCC. This claim makes sense at the time, given the market-maker was not on the Board then, as attested by public disclosure, *available at* https://web.archive.org/web/20210201075846/https://www.dtcc.com/about/leadership/board. However, by June of that same year, a Citadel employee was added to DTCC's Board and remains there to this day, with the original modification at their public site, *available at* https://web.archive.org/web/20210610132842/https://www.dtcc.com/about/leadership/board. In *supra* note 36 at 3:12:00, Cunliffe states six months later that clearing members "don't have kind of enough influence on the CCPs;" do staff share this view?

49. *Id.* Although the staff writers chose not to mention this particular broker by name in the last complete sentence at 31, NSCC's margin call to their routing broker was well publicized before being personally negotiated to a sum nearly half the original estimate vis-à-vis the ECP-charge waiver. Holistically, this page of the report states total clearing margin across all brokers increased by about 37% in a single day. How can trading in a small handful of retail securities so greatly disrupt the operations of our great Nation's only equities clearing firm?

50. *See* E.O. 14178, where our great President decreed: "the policy of my Administration to support the responsible growth and use of digital assets, blockchain technology, and related technologies across all sectors of the economy," despite surely fighting through traumatic pushback, *available at* https://www.whitehouse.gov/presidential-actions/2025/01/strengthening-american-leadership-in-digital-financial-technology. *Additionally, see, e.g.,* https://www.youtube.com/clip/Ugkx0KLlnP--6Q-u4L7H5zrgWbDhjpKr43dL, *supra* note 36, and the next subsection.

51. *See, e.g.,* recent rulemaking in File No. S7-10-23 contemplating the failure of the Custodial Structure, *available at* https://www.sec.gov/files/rules/final/2024/34-101446.pdf. Namely, the fifth paper cited in note 475 states, "[p]ervasive reforms of derivatives markets following 2008 are, in effect, unfinished business; the systemic risk of CCPs has been exacerbated and left unaddressed." Its subtitle claims the CCP is "too important to fail" and its author later writes that "their failure would have such a negative

Intermediaries like Apex stand central to this complexity and stand to financially benefit from its vast discoordination, despite best efforts from staff. Even the firm of this speaker "chose to access markets through larger rivals" due to the cost of "membership fees, direct market-data feeds and telecommunications connectivity" associated with the generally-private ventures which run these services.[60] Thus, we see added efficiency in the strict sense of comparing operations today to those from sixty years ago, but the market also congregates around a select few central bottlenecks and points of failure.

We appreciate the Commission's attempts to mitigate these risks in recent rulemaking.[61] Controlling the legacy Custodial Structure so far has been a momentous feat showcasing staff perseverance, attention to detail, and undying dedication to public service. Sometimes I have to stop and ask myself, "will the SEC ever stop working until all stock trading is truly free?"

I.B.2. Wind-Down Plan Modeling Tests

Concerningly, the OCC says that margin failure testing is both "a highly manual process" and "would require significant investment of time and resources" in their comment on the rule, *available at* https://www.sec.gov/comments/s7-10-23/s71023-225499-472722.pdf#page=10. The latter statement, as I read it, implies that major systemic and interlateral members of the Custodial Structure do not presently simulate advanced recovery scenarios for member failures. I find this gravely concerning given the quick markdown of Robinhood's gross exposure and margining markdown four short years ago.

I.B.3. Operational Deception Investigations

Despite recent optimistic support of artificial intelligence, I believe we'll still need genuine human involvement and connections in uncovering nuanced securities frauds. One such investigation into the proposed SPAC purchaser of Apex resulted in a $1,500,000 fine just last year.[62] Unfortunately, the Commission never received these funds because the investment corporation returned all investor funds on the day of the order.[63]

At the end of last year, Commissioner Mark T. Uyeda discussed this ruling alongside similar treatment of Trump Media and Technology Group Corp.[64] This kind of in-depth analysis of facts and circumstances requisites manual human involvement in a way which could endanger the integrity of our great financial system should it be needed for the daily operations of the Custodial Regime as a trading interface in and of itself. As a case exemplifying this principle, might I share a story from my relatively-isolated childhood?

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impact on the financial system and the economy as a whole that the government would do whatever it takes to prevent such a failure, including effecting transfers from taxpayers." Does the Commission believe *another* Federal bailout of Wall Street's mistakes should take preference over grassroots nonprofit investor-centric innovations?

52. *See* Timothy Cuddihy's response to CCP wind-down reforms, *available at* https://www.sec.gov/comments/s7-10-23/s71023-225519-472762.pdf#page=2. The all-powerful "Managing Director, Group Chief Risk Officer" states that it would be unduly difficult to ensure "there will be continuation of services by service providers" requisite to the Custodial Structure's operations (at 8). DTCC further expresses concern over inadequate central infrastructure, referencing potential disruptions by cloud providers—particularly troubling given ongoing modernization efforts, which appear to involve integration of cloud-native services like AWS Lambda. Note 27 reviews the complications arising in bankruptcy proceedings. At 13, DTCC warns: "RWPs are often implemented during times of market stress, and often during these times, circumstances are changing, and decisions are being made quickly." They go on to urge: "DTCC encourages the Commission to internally prepare and be in a proactive position to receive, consider, and approve any necessary regulatory requests from CCAs in a timely manner when RWPs have been implemented." This appears to suggest that systemic regulatory concessions should be presumed during stress scenarios—placing disturbing discretionary pressure on the Commission.

53. *See* request 24-01211-E from note 120 of PREV. I called both the public FOIA office and the research specialist assigned to the request case at least three times. Given the request was publicly acknowledged as properly formatted, do staff believe I should reach out to the Office of Government Information Services for the third time?

54. *See, e.g.,* recent remarks in response to an alert that a particular security was worth many thousands of dollars per share, despite the reality that it is presently valued at a small fraction thereof, *available at* https://x.com/Python0o/status/1890464983445545037. *See also* derivative products *supra* note 139 which attained this level of price action for some investors before transactional capability was unilaterally revoked from tens of millions of investors at over 150 broker-dealers, *available at* https://wooten.link/fractional-top. While

Growing up, I was not the kind of child to play sports or explore the outdoors willingly. I recall one year in middle school where my mom would lock me outside the house for half an hour a day. She got quite flustered when I sat in the garage working on trivial phone apps. It was that tendency to find electronic solitude each day that led me into our great market system as an individual investor. But despite great advancements in computer technology, many legacy financial functions still rely on faulty physical verification protocols.[65]

While these range in severity from medallion stamps to DTC offering confirmation meetings and required phone calls, the core challenge remains anchored in the legacy Custodial System's centralization.[66] With Cede as the nexus of all market activity, investors often unwillingly but coercively need to vest power and control to Wall Street's whimsical hypothecation facilities, briefly detailed *supra* § 1.1.1.

This tendency towards efficient digital systems held top-of-mind for me when I waited at least thirty minutes in a courthouse line last November. I was frustrated by the heinous events just north of Pittsburgh last year, and I hoped that my vote of confidence in our President could help our cross-institutional protocols serve American investors, not Wall Street elites.

As I quickly learned through the unexpected launch of certain tokens related to the President's inauguration, we have an exciting time ahead of us to define where exactly the lines lay in our human market interpretations. We can see these nuances initially identified by Commissioner Uyeda as they examine the materiality of missing disclosures which do not demonstrate "investors were financially harmed."[67]

As someone whose family members have served federal agencies for decades, I look forward to our renewed opportunity to efficiently further our shared three critical missions.[68] No other national securities regulator handles such nuanced complexities as the Commission given our most advanced, developed, and liquid capital market. I'm continually amazed at how well staff balance such diverse and interrelated interests, statutes, and public policies in the interest of serving the American investor.

For decades at this point, the processing of short sales has been top-of-mind for many in our community, broadly across the Nation, and in the work of former Commissioners. Interestingly, we see this firsthand in the Apex supplemental-PIPE subscription agreement filed alongside the merger announcement.[69] At § 8 therein, we see a common but contradictory prohibition on short sales.[70] Hopefully a more automated and egalitarian approach to single-level asset hypothecation will remedy the onward lending challenges highlighted by so many commenters across so much rulemaking, rather than the bifurcated two-tier approach to today's intermediated securities pools and subsequent centralized loan allocation mechanisms.[71]

I.B.4. Unacceptable Clearing Agency Margining

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some of these events may be attributable to human error, as was the case of the bank teller, others seem more inexplicably linked to the opaque operations of certain systemic industry participants.

55. As the Commission knows, Apex attempted to go public through a $4.7 billion post-money reverse merger four years ago through its former parent Apex Clearing Holdings LLC, as detailed in a Form 425 filing from the acquirer, *available at* https://www.sec.gov/Archives/edgar/data/1834518/000119312521049864/0001193125-21-049864-index.htm. However, the purchase and subsequent PIPE financings fell through after the incidents of late January that year. Exhibit 99.1 therein boasts about Apex's "over 200 clients representing more than 13 million customer accounts" which generated an "[i]ndustry leading" prior-year "operating revenue of approximately $236 million" at nearly 40% gross margins.

56. *See* business management claims highlighting profits in Exhibit 99.1 as attached to the February 2021 SPAC 8-K, *available at* https://www.sec.gov/Archives/edgar/data/1834518/000119312521049864/d137294dex991.htm. While generously ignoring the market-shaking events of three weeks prior, President Tricia Rothschild says order routing "is a high cost of failure business, and our clients and their customers depend on Apex to safeguard their assets." Ms. Rothschild quietly resigned five months after this filing, before the merger fell through, as shown through a very short note at the end of a hiring announcement, *available at* https://www.businesswire.com/news/home/202107060053.

57. *See* memorandum from Republican Representatives, *available at* https://docs.house.gov/meetings/BA/BA16/20240627/117468/HHRG-118-BA16-20240627-SD002.pdf. Employees from two national securities exchanges, *inter alia*, discuss the 1975 Exchange Act amendments and subsequent structural reform initiatives which prefaced the monopolization of post-trade clearing and settlement *infra* note 175. The House description details proposed and prior changes by Commissioner Gensler as attempting to "overhaul certain aspects of the market." However, the written testimonies of both the sitting academic and Nasdaq EVP reference or are themselves supportive studies paid for by the industry.

Just after the GFC, Mr. Peterffy wrote:[72]

> Collecting margins is not the clearinghouse’s only function. When a clearing member fails, the clearinghouse has to be able to step into the failing clearing member’s position and liquidate that position while trying to minimize losses and public panic. And here we come full circle, because if there is not a liquid market at the exchange, how will that position be liquidated? If it is a large position, what is the clearinghouse going to do? If the losses exceed the clearinghouse's resources, who will end up with those losses? The other members will, but if some of them do not have sufficient funds, we will be faced with a domino effect.

To explain the materiality of this prescient insight, I will walk through work from an adamant community member[73] who has invested years of advocacy work around a particular transaction uncovered by the Congressional "Game Stopped" report.[74] I would like to explore this event because few, if any, other commenters on pending rulemaking highlight this incident, and the Commission's own staff report mentions Apex only once at 9.[75] Thus, the unfamiliar public may benefit from going into greater detail than normal so as to fully understand my interpretation of the events, operational incidents which seem pertinent to staff (but I have not personally seen highlighted).

The large majority of this analysis comes from the Congressional report.[76] Therein, the House quickly identified that "Apex instructed its broker-dealer clients to restrict trading because the company was concerned about the magnitude of a potential collateral deposit request from the NSCC."[77] This was quite the material decision because Apex put its business-continuity interests over and above its hundreds of brokerage clients[78] and their investors' ability to purchase "both equities and all options series" via manual email notice.[79]

Thus, it is generally understood that "hundreds of other firms that clear their trades through Apex" were "to prohibit purchases of certain highly volatile stocks."[80] This reminded me of a personal experience where I bought a speculative stock at least four years ago. Upon attempting to dispose of the asset for a modest gain a couple hours later, I received an error which support staff said was "afflicting any placed orders" on our app.[81] I found this perplexing because this particular intermediary began routing its own trades through a subsidiary broker less than a year prior "to eliminate fees that our former clearing firm [Apex] charged" in a supposed move to "provide a better customer experience" when orders are "executed by one of our partnered market maker venues."[82]

Apparently, it was one of those market maker venues which "encountered a technical issue" and "since canceled pending orders" and left me stuck in a failing trade overnight.[83] Congress highlighted the

58. *See* Congressional testimony of Justin Schack from an intermediary which claims to be the industry's largest floor broker, *available at* https://youtu.be/LxgQSA0htv8&t=5060. While not an independent, unbiased witness, they capture the peculiar development of the present unchallenged market structure when calling it "lightning fast, vastly fragmented, and extraordinarily complex. No one with a blank slate would design such a complex system to achieve such a simple task."

59. *See* Mr. Schack's witness statement as submitted on their own behalf, *available at* https://www.congress.gov/118/meeting/house/117468/witnesses/HHRG-118-BA16-Wstate-SchackJ-20240627.pdf. Later in the document, they contemplate "whether today's far-better outcomes came *because of* or *in spite of* [sic] all the government reforms and private-sector adaptations of the past three decades."

60. *Id.* at 8. *See also generally* discussion of the conflicts and challenges presented by this structural configuration and competing market access fees, *available at* https://youtu.be/Sm17SAZO9hY?t=2490. I discuss specifically in the preface thereto systemic ownership challenges in the zero-commission hidden-fee business models of modern brokers. Might the growth of transfer-agent-oriented market systems help the Commission reduce its concentrated reliance on the centralized Custodial Structure?

61. *See supra* note 27.

62. *See* Release No. 11266 at https://www.sec.gov/files/litigation/admin/2024/33-11266.pdf.

63. *See* press release "liquidating the funds held in the trust account and making a distribution payment therefrom" in accordance with the exemption from the civil penalty, *available at* https://www.sec.gov/Archives/edgar/data/1834518/000121390024006525/ea192206ex99-1_northern2.htm.

64. *See* response to Form S-1 filed 6 Jan 2021, which staff found dated after initial SPAC target conversations began, *available at* https://www.sec.gov/newsroom/speeches-statements/uyeda-statement-spac-121224. Commissioner Uyeda gripes with the material business differences between operating companies and special-purpose vehicles. Vehicles which, as staff know, require special investor protections and processing treatment compared to real businesses not formed solely to shortcut the artificial barriers to exchange listings.

vulnerability investors face when their brokers singlehandedly route trades to central liquidity sources, documenting that many such firms not subject to Regulation SCI "faced system outages and other operational concerns."[84] Unfortunately, this is not the only time a broker did not act in my best interest as an individual investor when trading volatile stocks.

II. Clear Unsolved Challenges

Despite best offers from staff throughout an administration of intense individual investor advocacy, many of our structural market problems remain. We applaud the Commission for your most exemplary efforts in exploring increased tick size depth and implementing the universal proxy.[85]

These well-intentioned policies chip away piecemeal at the larger challenges of a securities industry operated on the basis of a single opaque, concentrated, and overbearing private corporation. This structure perpetuates a radically inefficient extractive system full of coercive risks, compared to a decentralized ledger system.

Our market's tabulators should not need multiple different methods to remedy the overvoting of beneficial share entitlements.[86] These inefficiencies only exist because of the rampant propagation of clearing FTDs since the 1994 amendment of the UCC.[87]

As the Commission knows, Article 8 of the UCC created these entitlements in 1994, legally separating investors from what was previously their property so that brokers could employ them for their own collateral. However, as we'll find meaningful later, the DTC's lawyers already had States make the requisite custodianship operational efficiency change in 1972.[88] Upon an electronic-record modernization update in 1978, the UCC contained all required intermediary rights and protections to offer margin accounts and associated hypothecation products.[89]

II.A. Dual Themes Explored Throughout

II.A.1. Management Routing Profit Decisions

As someone who started in the markets as an active investor, I've seen firsthand how competing brokers over the years transformed their service offerings in the advent of zero-commission brokers. Routing was always one material differentiator amongst relatively advanced investors, a differentiator that could unilaterally control whether or not you got the best price in a fast-moving trade, despite the best efforts of Regulation NMS up to the turn of the last decade. Should new investors' ever-expanding order flow really serve as a profit stream for brokers over and above an investment vehicle for individuals?

Might American business best raise the most qualified investors through a more universal market for capital more closely aligned with Commission registration rather than proprietary central interfaces?

65. *See, e.g.,* remarks of G. Daniel Doney, *available at* https://www.youtube.com/clip/UgkxXEmtxkLwy3BpgrbEKTeHlzjDZWsptDhX. While this individual previously took an active role in the development of the most efficient financial infrastructure available to markets, *available at* https://github.com/stellar/stellar-protocol/blob/master/core/cap-0035.md; all such open-source activity ceased following the DTCC acquisition of their very well-funded startup. *See also* remarks over antitrust concerns made after the announcement of the merger, a transaction not approved by the Justice Department, *available at* https://wooten.link/securrency.

66. Much of this perspective comes from years of chatting with my dad, who has decades of experience in the industry, as disclosed in public licensure records, *available at* https://brokercheck.finra.org/individual/summary/2625181. I recall one story of his where Wells Fargo received a legal document from DTC in the last couple of years, a stark discontinuity from common manual human conversations. The document affirmed a material institutional issuance not with a medallion signature; confirmation of existing physical identification documents or bodily samples; or cryptographic signing curves employed by the highest levels of our military. Rather, it affirmed issuance, underwriting, and indenture through wet signatures. Might this antiquated authorization of business custody lead directly to challenges staff encountered last year in protecting our great Nation's cyber infrastructure, *available at* https://www.sec.gov/newsroom/press-releases/2024-101 ¶ 10?

67. *Id.* at §§ II–III.

68. *See, e.g.,* application of efficiency principles in EDGAR automation for the driving goal of facilitating small-business access to capital, *available at* https://www.sec.gov/comments/s7-15-23/s71523-301019-767522.pdf. Namely, we circle back to the guiding principles I personally admire as an investor in our markets first and foremost throughout my early career in § V.D. In an age where so few innovators tap our public markets for their expansions, might a more decentralized capital allocation system best involve our great national population in the businesses of tomorrow, rather than a select few Sand Hill institutions?

Another such incident occurred in November last year, with another broker employing Apex's services. I invested every cent in my stock account into a company in mid-2022 which subsequently lost 80% of its value in six months. However, I chose to leave the account alone to grow because I liked the long-term prospects of the issuer. They proceeded to increase fifty-fold in two years, when I received a discreet email.[90] "Login to your account to avoid a $25 inactivity fee," said the broker in an inbox full of financial spam letters.

The firm charged my account a $25 fee two weeks later, but the portfolio only held one stock. Thus, they forcibly sold a tenth of a share from my assets the next day to cover the senseless charge.[91] Does the Commission believe investors should have total control over their own portfolio, especially when held through a cash account? Apex and others do not seem to believe this to be the case.[92]

Indeed, staff's own findings report that the "vast majority of GME stock trades executed off exchange in January 2021 were internalized (approximately 80%)" as opposed to letting orders freely compete with others in a traditional priced market.[93] Everyone in our community has seen firsthand just how much "payments to broker-dealers may raise questions about the execution quality investors receive."[94] Do we need to leave our markets[95] groveling in a back-and-forth between brokerage executives and their investors,[96] everyday people who are often referred to as customers rather than equal market participants?[97]

II.A.2. Inadequate Clearing Participant Capitalization

In the same year that DTCC published their only public blockchain ideation conference discussions, *available at* https://www.youtube.com/playlist?list=PLD_o9ntBnmGboXX-Xtw2K5oSjRo1GdLJE, Commissioner Peirce wrote:[98]

> If a clearinghouse were to fail, there would be tremendous pressure for the government to bail it out in the name of financial stability.

I find these differing interests concerning because of historic instabilities in "automated" clearing which lead to emergency capital calls such as those seen in the PCO event. For instance, over a decade after DTC was founded, "a computer problem prevented the Bank of New York from delivering securities from its custodial accounts."[99] Unfortunately, many of these behind-the-scenes systems errors can stay hidden from investors, leaving them unaware of processing challenges until it's too late.[100]

More to the point, it is my understanding that the Commission is intimately familiar with the interconnectedness of clearing members in the Custodial Structure. The NY Fed documented what staff have known for quite some time: FTDs create "an increase in counterparty credit risk" which leads to cascading

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69. *See* Exhibit 10.1 filed in connection with *supra* note 55, *available at* https://www.sec.gov/Archives/edgar/data/1834518/000119312521049864/d137294dex101.htm.
70. While Apex chose not to segment out its securities lending income from other net disclosed revenues, it is my general interpretation of large swaths of public sentiment and personal experience that the firm generally retains at least 80% of all such revenues. Given the materiality of share lending income in other brokers, a source of revenue derived from lending assets for short sales, I find some solace in knowing Apex itself ascertains the clear conflicts of interest in lending practices, especially related to primary offerings. *See also* rulemaking which came into effect last year at File No. S7-18-21, requiring more transparency and efficiency in the securities lending market which has so greatly been kept out of accessible tools beforehand. Staff efforts to meaningfully distinguish between individual and wholesale lending markets frankly blew my policy hat right off, as the analyses thereof exemplarily protected small American retirees.
71. *See, e.g.,* disclosure of the "give-to-get" insider lending club from the final release of *Id.* at 180, *available at* https://www.sec.gov/files/rules/final/2023/34-98737.pdf#page=180. *See also* remarks of an extensively-cited commenter claiming there exist "enormous costs associated with [transactional reporting]" given the implicitly manual nature of these institutional transactions, *available at* https://www.sec.gov/comments/s7-18-21/s71821-20122451-278475.pdf#page=11. The commenter at 13 onward goes on to attack staff for implementing reforms authorized by Congress and designed to protect the investing public.
72. *See* "crisis of trust" remarks before the 2010 General Assembly of the World Federation of Exchanges, *available at* https://www.interactivebrokers.com/download/worldFederationOfExchanges.pdf#page=6. "Fast forward to today and we cannot make the same claim [of market integrity]... what we have today is a complete mess" due to fragmented venues, dark pools, and internalization. "Cross margining among 10 or 20 clearinghouses would create mind-numbing complexity," introducing payment gridlocks and heightening the risk of cascading failures across interconnected markets in credit-based systems.
73. *See, e.g.,* exceptional previous work analyzing holes left open by Congressional evaluations of market-changing events, *available at* https://wooten.link/data-expose.

interconnected losses when "a buyer becomes insolvent before the settlement of a trade" and leaves investors with "nothing to deliver should they decide to sell."[101] Given the recent insolvencies of leading broker-dealers, it seems the methods of federal investor protections will quite immediately matter more than any years past.[102]

This is partly and materially why I worry about the centralization risks inherent in the private, opaque, and concentrated central firm at the core of intermediated clearing today. This exact positioning led the Bank of New York to borrow over three percent of the M1 money supply of all dollars in America when an "error occurred in a messaging system which buffered messages going in and out of the bank."[103] In an unprecedented series of events, "the bank actually had to borrow that amount from the New York Fed -- pledging all of its assets -- in order to balance its accounts overnight."[104]

Journalists at the time highlighted "the spillover effects on the government securities market" caused by this single intermediary during a period that "was not an especially heavy day for securities transactions."[105]

II.B. Cross-CCP Interleaved Margining Procyclicality

The FICC's cross-margining agreement with the CME is not the only cross-margining agreement between recognized systemic institutions, as staff fully understand.[106] For instance, after the first failure of a Global Systemically Important Bank ever, Credit Suisse burdened UBS with significant toxic swap agreements related to the PCO event.[107] I could go on listing cases of interconnectedness between CCPs for another twenty pages, but I don't have the time.

Rather, I hope staff will suffice with a select few instances of OCC's arrangements as sufficient proof that the detrimental fall of options clearing services would take down the American financial system. Ever since loosening margin deposit requirements in SR-OCC-2007-04 to regular accounts, the OCC has widdled down a slippery slope of expanding their access to collateralizable margin.[108] Chiefly, I find this particularly concerning due to the points brought up in note 4 of PREV.[109]

See, e.g., other relevant operational agreements. The community materially commented on their link to interconnected-risks between cross-margined CCPs:

- File Number SR-OCC-2022-802, *available at* https://www.sec.gov/comments/sr-occ-2022-802/srocc2022802.htm
- File Number SR-OCC-2022-803, *available at* https://www.sec.gov/comments/sr-occ-2022-803/srocc2022803.htm

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74. *See* report on the PCO event of four years hence, prepared over the course of sixteen months by the majority staff of the House Committee on Financial Services, *available at* https://democrats-financialservices.house.gov/uploadedfiles/6.22_hfsc_gs.report_hmsmeetbp.irm.nlrf.pdf.
75. *See* Staff Report on Equity and Options Market Structure Conditions in Early 2021, *available at* https://www.sec.gov/files/staff-report-equity-options-market-struction-conditions-early-2021.pdf.
76. *See supra* note 74 at § III.2.b.
77. *Id.*
78. *See supra* note 55.
79. *See supra* note 74 at § III.2.a.
80. *Id.*
81. *See* correspondence with support staff via help center over the course of two full trading days, *available at* https://wooten.link/trading-sell-error.
82. *See* engineering news release detailing scaling challenges of proprietary centralized systems built on open-source protocols with retrospective insights into past business decisions, *available at* https://newsroom.aboutrobinhood.com/part-i-scaling-robinhood-clearing-accounting.
85. I also sincerely appreciated the technical excellence showcased in the proposition, beta testing, and present implementation of EDGAR Next.
86. *See, e.g.,* an internal transfer agent service document describing six ways to truncate or otherwise throw out votes in elections where more shares are voted than exist, *available at* https://wooten.link/overvoting-fabrication. Should agents really need to resort to throwing away votes because the Custodial Structure allows more shares to circulate than exist?

See also community investigations into the operations of interfaces recently underprioritized in the view of some investors, *available at* https://wooten.link/CAT.[110] Tellingly, the allocations this community member lays out suggest that the different exchanges largely flex their rules for certain "short sellers leveraging loopholes" on a law generally not enforced to the fullest.

I find this concerning because of recent developments more explicit in *infra* § 2.4. Namely, at 59:24 in the scheme detailed *infra* note 132, an agent of DTCC demonstrates a market-meltdown and country-banking-solvency-level risk through a faux emergency news broadcast.[111] In an effort "[o]ptimizing margin across CCPs becomes more critical to firms[,]" the speaker explains how a simulated clearing member is "overcollateralized at FICC but has a deficit at NSCC."

In all existing securities laws at all regulators in all nations, there is no reason to move excess margin between CCPs without actually settling trades, recognizing a cash gain or loss. This protects market stability by preventing cascading CCP failures, otherwise referred to as "domino bankruptcies." Without this protection, I suspect the entire financial system and its economy would end if OCC failed.

Lastly, Congress found that some brokers are "thinly capitalized for a highly volatile environment[,]" including such firms which are clearing members at CCPs.[112] Clearing members who ignore how cross-margining works risk a sharp shock during a downturn that strains their collateral at any CCP connected to the OCC.[113] Again, the industry proposes entire CCPs post collateral between themselves in *infra* § 2.4.1 ¶¶ 6–9.

II.B.1. Material Other Apex Points

- *See supra* note 36 at 2:44:00, Cunliffe says, "CCP capital is generally pretty small relative to the size of their operations." Staff themselves seem to concur with this concern when considering any potential bailout from the Federal Reserve *infra* note 144. *See also* remarks of leading advocacy constituent at the video clip linked in note 16 of PREV, stating that "the central clearing counterparties are very thinly capitalized."
- *See, e.g.,* FINRA fining Apex $3.2 million for lending securities out of accounts not subject to proper lending arrangements, including punishment for an $18 million payment of cash in lieu of dividends, *available at* https://www.finra.org/media-center/newsreleases/2025/finra-fines-apex-clearing-32-million-violations-relating-fully-paid. *See also* full order at note 4 explaining how these payments are "subject to higher tax rates[,]" *available at* https://www.finra.org/sites/default/files/2025-02/Apex_Clearing_Corp_AWC_20210721204.pdf#page=4. This went on for over four years despite material warning from Dr. T.

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87. While we appreciate that about half of our great Nation's States amended their codes two years ago, particularly section 8 thereof, these changes do not address the material concerns we have over the protection of investor assets held in retirement, health-savings, or any other entitlement accounts. We will detail these challenges later, which were introduced in their entirety in the 1994 amendments.
88. *See* remarks on the Banking And Securities Industry Committee's amendments to the UCC in 1972, mentioned in File No. S7-27-15 (the "concept release") at n.62, *available at* https://www.sec.gov/files/rules/concept/2015/34-76743.pdf; enabling the custodianship and immobilization necessary for margin loans, *available at* https://www.sechistorical.org/collection/papers/1980/1984_0401_BasicTeamwork_1.pdf#page=69. Upon the adoption of these new State laws, "DTC commenced taking steps to implement the long-desired broadening of its ownership, even though a small percentage of its eligible issues would be from non-enacting states." As the Commission knows, this ownership stake often exceeds 99.9% of public issuers, presenting an immense centralization risk should its nominee partnership face any threats.
89. *See* Florida State University Law Review's article: *A Critical Look at Secured Transactions Under Revised UCC Article 8, available at* https://ir.law.fsu.edu/lr/vol14/iss4/2. In 1987, Dr. Paul B. Rasor, Ph.D. therein states: "The extension of Article 8 to uncertified shareholder interests did not have anything to do with the problems of secured lenders. Instead, it grew out of the so-called 'paperwork crunch' which came to a head in the late 1960s in the securities industry... financial intermediaries and other bailees will presumably have records showing which notices were received when. Nothing in the revised Article 8 affects this."
90. The exact email sent 6 Nov 2024 also stated that "[o]ur records show that it has been approximately six months since you have logged into your [account]." I was instructed to "log in by end of day 11/15/2024" but did not see the message by that date.
91. I do not think an investment application should disincentivize long-term investing, so I sold the remainder of the position and closed the account four days later. I did attempt a stock transfer to another broker, but the fee to do so was arbitrarily high, marked up by a factor of nearly 500 times the public clearing and settlement charge therefor.

- Apex "wasn't prepared to post those funds," per *supra* note 92 at 7.
- Others[114] exempted.[115]

Notwithstanding, we as a collective Nation were still retroactively unable to protect investors in some of the largest market incidents given the central dangers convincingly embedded in unilateral-PCO infrastructure.

II.C. Institutional Failings and the Case for Direct Registration

In segueing to institutional failings, let's incorporate the change in tone from a prominent case study of growing direct registration. This is also an example of growing needs for the DRS system to compete with the custodial holding infrastructure, now possibly thanks to the efficiencies availed by blockchain.[116]

II.C.1. Claim #1: Coinbase Targeted *infra* § 2.4 introductory paragraph, as "CryptoEx" at 22:37

II.C.2. Recommendation #1: Chat with whomever works there about ATS intentions.

I share the Commission's stated public view that Coinbase Global, Inc.[117] ("Coinbase") presents a brazen overstepping of "well-established principles of the federal securities laws."[118] It shook me to the bone when I heard Coinbase's chief legal counsel say that their only licensure was state money transmission reporting at SFVegas 2021.[119] As a user of this centralized platform since 2017, I found enforced policies and procedures meaningfully questionable, as at least three accounts I control have been unilaterally shut down or meaningfully restricted.[120]

These instances concern me because I am a law-abiding American citizen who's gone out of my way to report otherwise pseudonymous, unregulated, and profitable on-chain trading venues.[121] Moreover, the accounts of family members I've seen restricted, all of whom live in similar circumstances, by and large, came without any advanced warning or corrective action avenues. As someone who's had many links to the financial system permanently severed before,[122] this unilateral, opaque, and coercive central control from Coinbase surprised me given their public-facing mission to "increase economic freedom in the world."[123]

this'll need a senternce of deferfence to "The Commission’s decision to exercise its discretion and dismiss this pending enforcement action rests on its judgment that the dismissal will facilitate the Commission’s ongoing efforts to reform and renew its regulatory approach to the crypto industry, not on any assessment of the merits of the claims alleged in the action." at https://www.sec.gov/newsroom/press-releases/2025-47

II.C.3. Intermediated Employment Dental Insurance

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92. *See, e.g.,* opinion affirming dismissal in *Peter Jang v. Apex Clearing Corporation*, 23-10436 (11th Cir.), *available at* https://cases.justia.com/federal/appellate-courts/ca11/22-10669/22-10669-2024-10-08.pdf. At 15, the judge rules that "clearing brokers like Apex generally don’t owe individual investors any fiduciary duties" and thus cannot be held to serve the best interests of investors in New York. The court continues to dissect the misunderstanding that "the stockbroker-investor relationship is a fiduciary relationship" at nn.3–4.
93. *See supra* note 75 at 37. Moreover, as the Commission knows, "88% of internalized dollar volume in January [2021] executed by just three wholesalers" according to note 100 on the same page. Is it healthy for our great NMS if one firm accounts for over half of daily internalized trading volume, according to this source? A firm which solely exists to make a market for profit using preferential access to certain liquidity venues not available to large swaths of the investing public.
94. *Id.* at 44. Here, staff also remark that "though wholesalers increasingly handle individual investor order flow, they face fewer requirements concerning their operational transparency and resiliency as compared to exchanges or ATSs." While it could be challenging to crack down on these institutions given the "free" trading regime brokers design around rebates, might an alternative blockchain-based and transparency-focused transfer-agent system alleviate these market-structure loopholes?
95. *See supra* note 11. Given cryptosystems and decentralized exchanges allow these transactions without the possibility of FTDs, I asked Commissioner Aguilar and partners at their venture company about their interpretation of if they "would or would not consider a DEX to be an ATS" in a written communication on 26 Sep 2023 and subsequent meeting in relation to File No. S7-02-22, *inter alia*. If staff agree with the supportive remarks in these discussions and pro-digital-assets rhetoric espoused by our present governmental leadership, then might we need an oversight system for uncovered peer-to-peer distributed transaction messaging systems?
96. *See* analysis of legacy liquidity venues in one of the leading academic finance journals, *available at* https://doi.org/10.1017/S0022109017000849. *See also* discussion of alternative liquidity-providing cryptosystems, *available at* https://x.com/xximpod/status/1908527646331593078. I see no other decentralized free market than the one referenced *infra* note 149.

- **17 Dec 2024**: Dental procedure performed.
- **14 Jan 2025**: Check issued and dated; although insurance directed it to the home address, it was sent to the dentist's office instead.
- **24 Jan 2025**: Check received after being misdelivered due to a misread handwritten address; it was mistakenly opened by a neighbor.

This incident parallels failures like the Green Dot autopay disruption, which caused account cancellations and required users to "call my bank" for resolution—highlighting the fragility of heavily intermediated financial processes.

II.C.4. Robinhood Failed Login Instance

16 Jan 2025: At least the third time being asked to submit ID to "activate crypto transfers"—a request that originally appeared just to **log in**, despite the presence of material Roth assets on the platform.

- The identity verification loop prevented basic account access.
- The platform still does not allow linking to the primary bank account.

This experience parallels other flawed centralized platforms like Green Dot and Citi, where rigid identity gates and systemic inefficiencies compound rather than resolve user friction.

II.D. Experimenting with the Financial System

In software engineering, there's a simple choice made when developing new technologies: you can have a staging environment and a separate production environment—or not. Practically every centralized organization chooses to have this separation because it prevents minor bugs from ending the world.[124]

Ms. Countryman, recently, the Depository Trust & Clearing Corporation ("DTCC") gave a particularly concerning industry presentation, *available at* http://wooten.link/great-collateral-taking. In this livestream, the organization uses the word "control" twice.[125] While I will share those instances momentarily, I'd prefer to get a material point across first.

II.D.1. Tri-Party Collateral Liquidation Automation

1. At 34:26 in the demonstration, the DTCC shows a screen with a tri-party repo agreement simulated on a proprietary blockchain interface, technology, and backend.[126] There are four unique parties showcased in the tri-party arrangement:[127]

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97. That is, if they're not referred to as a product sold to market-making firms. *See* staff correspondences regarding IPO of most notable intermediary of the PCO event in *Id.* As the Commission knows, the Division of Corporate Finance suggests a "revision to clarify users are not customers" in their registration statement, *available at* https://www.sec.gov/Archives/edgar/data/1783879/000000000021007261/filename1.pdf.
98. *See supra* note 21 at 2.
99. *See* clearinghouse settlement failures study from a research series which had its industry funding revoked a decade ago, *available at* https://www.newyorkfed.org/medialibrary/media/research/current_issues/ci11-9.pdf#page=2. Also on this page, notable researching authors indicate in Chart 1 that failures to deliver in Treasuries began in earnest around 1992. "Fails to deliver involving Treasury securities occurred in every week between July 4, 1990, and December 29, 2004," notes the study, averaging over $440 billion per month in 2025 dollars.
100. *See supra* note 74 at § III.2, finding and disclosing over a year after the fact that DTCC arbitrarily chose to waive margin charges and had "regularly waived such charges during periods of acute volatility" for years prior. Congressional staff found that "at least one member firm made a business decision" to allow trades creating ECP charges because NSCC's charge "was either not applied or reduced 63 times" to the tune of billions in risk deposits. In following this series of repeated margin-forgiveness decisions, Congress found a single managing director "has the ultimate authority to authorize waivers" and "does not need to consult with anyone to authorize a waiver." Should these calculations, so crucial to the integrity and stability of our great market system, really lie in the hands of a select few individuals, "particularly when the risk of default is greatest[?]"
103. *See* a documented archive of the Bank of New York's "$32 Billion Overdraft" because of bond clearing miscalculations for tens of thousands of issues at *supra* note 99 n.4, *available at* https://dl.acm.org/doi/pdf/10.1145/382300.382301#page=2. The bank "incurred an estimated $4 million interest expense on the borrowing, [but] the bank said any impact on its net income 'will not be material.' For the first nine months this year, earnings totaled $96.7 million."

- Euroclear ("Col. Agent")
- BNY Triparty ("Col. Agent")
- Wellington ("Col. Receiver")
- SocGen[128] ("Col. Receiver")

2. There are two tri-party collateral arrangements shown:

- Euroclear <-> Wellington (–$8.8 million "deficit")
- BNY <-> SocGen ($10 million "excess")

3. In the subsequent commentary, an agent of DTCC "moves" the excess collateral from one arrangement to the other, "balancing" the two out. This occurs within seconds, as the DTCC acts as central counterparty-interface.
4. At 49 minutes in, DTCC gives an example of "Bratannia Bank" going bankrupt. At 53:47, DTCC gives an example of a domino-bankruptcy effect whereby counterparty "Sterling Bank" also enters insolvency.
5. Next, DTCC's agent claims that the pretend bank's "risk team was able to calculate the closeout amounts within minutes[.]" Next, DTCC's agent contacts the repo agreement's tri-party arrangement "tri-party" agent.[129]

II.D.1.a. CCP as Executor of Autonomous Cascading Insolvencies

6. DTCC's agent continues to "call" someone at Euroclear. On this "call," DTCC's agent proceeds into "issuing a notice of default." The "Euroclear representative" comments that they've "had a few of those already."
7. After instantaneously learning that the "notice has been authenticated," they "go ahead and start the process."
8. Next, this employee's "boss" explains how digital assets unlock "enormous potential in digital assets" because "[t]hey bring opportunities to unlock new sources of collateral."
9. I would like to generally ask staff how one "unlocks new sources of collateral[?]"
10. After this, the video cuts back to Euroclear's agent explaining that DTCC's agent should "see the collateral in your wallet now."

II.D.1.b. Speed of "Immediate" Systemic Takeovers

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104. *Id.* from reprinting of *Washington Post* article. Only "able to borrow $700 million from other banks. The rest was covered by a $23.6 billion loan from the New York Fed. As collateral, the bank pledged all its domestic assets and all its customers' securities" with only hours of notice. Will we expect the banks to support any kind of clearing-system failure, and, if so, what happens when their available funds require again borrowing against American investor portfolios?

105. *Id.* As the Commission knows, much of this present risk now exists centralized in the FICC as established for the benefit of industry participants. However, these "efficiencies" propagate to the benefit of speculators who can propagate record quantities of risky positions using common collateral between their accounts therewith and at the Chicago Mercantile Exchange, as established by a cross-margining agreement formalized two decades ago without a notice-and-comment period in SR-FICC-2003-10, duly revised and *available at* https://www.dtcc.com/~/media/Files/Downloads/legal/rules/ficc_cme_crossmargin_agreement.pdf.

106. *Id. See also* §§ 8–9, introducing contagion risk from large-participant defaults by the nature of cross-covered obligation guarantees. As the CTO of DTCC Digital Assets put it *supra* note 65 at link 1, "we took—to fix the [GFC] problem—what was too big to fail, and we turned it into too bigger to fail." Might concentrating all known collateral into a single entity only exacerbate this problem, as recently reposed and affirmed in an interview with this same individual, *available at* https://youtube.com/clip/UgkxvR-0P5MQCn_bNr9L_6volUdIf_NAvM8L?

107. For the latter claim, *see* abrupt acquisition of equity in the last quarter of last year, *available at* https://13f.info/manager/0001610520/cusip/36467W109. The CFTC found that the legacy swaps—generally uncleared by a derivatives clearing organization like the OCC—would remain compliant despite transferring ownership to the acquirer, *available at* https://www.cftc.gov/PressRoom/PressReleases/9066-25. Should such systemic institutions really be allowed to maintain positions "entered into prior to the relevant compliance dates for the CFTC's margin and clearing requirements" if any CCP mishap could destroy the financial system, as discussed immediately after reviewing the Credit Suisse failure *infra* note 179?

11. At this point, DTCC's agent claims that the simulated banking intermediary "had immediate access to default collateral, so that we can now onward-pledge the assets[.]"
12. This correlated directly with OCC's intention to allow tri-party collateral agents to rehypothecate nonbank liquidity provided in the case of an emergency.
13. I suspect this could create an incentive to artificially create such an event should DTCC deem it in their interests, including such participants as described in *supra* note 48.
14. My most extreme constituents concur in this viewpoint.

II.D.1.c. DTCC and Other SROs Have Failed America

15. *See generally infra* note 155, *supra* note 1, and *infra* note 171 (failing to protect a large number of investors).
16. Centralization is not a sustainable approach to market structure.[130]
17. Pretty sure the orchestrants behind DTC want to take all collateral.[131]
18. Concentrating all collateral in the hands of DTC "Digital Assets" would make this a pretty simple task. I will do everything in my power to stop this from happening as per *infra* § 4.2. *See also relevently* webpage of DTCC's subsidiaries which presents its "Digital Assets" initiative as the only public subsidiary with duplicate American and laxly-regulated EU incorporation, *available at* https://www.dtcc.com/about/businesses-and-subsidiaries.

II.D.2. Hasty Liquidation in Global Emergencies

From the 60-minute mark onward, DTCC explains how they would like all CCP margining to be interoperable through cross-tri-party arrangements. The agreement type listed for the transaction between "BNY Triparty" and "Bravo Bank" has an "Agm Type" listed as "Repo"—a different classification than the prior example using "CCP Margin." As staff understand, Bank of New York Mellon is one of only two tri-party repo clearing banks which could participate in this proposed collateral hodgepodge.

DTCC's agent claims that "we can now handle this process more efficiently than ever."[132] After this statement, they allocate approximately 4,000 bitcoin and $400 million in tokenized Japanese government bonds to "cover the obligation."

I have more to say about this presentation,[133] but will censure myself herein for time's sake. If BNY is the bank counterparty OCC references, has the Commission thought about options collateral permeating industry

108. This rule change was so out-of-line with existing interpretations of 17 CFR § 240.15c3-3 that the OCC requested accelerated approval to further their common operantus of denying public input, established in PREV n.117. *Compare* this treatment of investor monies to the generally broader permission asked nearly two years prior to segregate margin "lien accounts"—which "would correspond to cross-margining agreements between OCC and other futures clearing organizations" like DTC—from general cash holdings in SR-OCC-2003-04, *available at* https://www.sec.gov/files/rules/sro/occ/34-51330.pdf. Note 3 further cites examples of the OCC's agreements "with the Chicago Board Options Exchange ('CBOE'), American Stock Exchange, New York Stock Exchange ('NYSE'), Chicago Mercantile Exchange ('CME'), Chicago Board of Trade and various member firms... under which eligible customers may elect to establish accounts," accounts which OCC itself later cites "may be cross-margined with related futures products regulated exclusively by the Commodity Futures Trading Commission[.]" Should we subject all collateral to such treatment, without informing investors that their whole portfolio could receive a material haircut if any such firms cease operations?

109. *See also generally* insufficiencies in past oversight and operations indicated by material CFTC fines throughout PREV § I, if time permits.

110. As staff understand, this general reporting mechanism deeply relates to a staggering $45 million charge against inaccurate reporting from earlier this year, *available at* https://www.sec.gov/newsroom/press-releases/2025-5.

111. *Id.*

112. *See supra* note 74 at 97. *See also generally* Key Finding #3. House staff note on the prior page that introduces this finding how several "member firms Committee staff interviewed either did not model for, or otherwise explicitly plan for" ECP charges before the PCO event.

113. *Id. See also infra* note 179 for discussion at the end of last year, contemplating the FDIC's inadequate non-preparation for the failure of a CCP.

114. *Id. See also* public comments from the CEO of a correspondent clearing firm, *available at* https://rqdclearing.com/rqd-ushering-in-the-modern-clearing-solution-thats-required. While I cannot presently comment on the full depth

rehypothecation en masse?

II.D.3. Other Material Aspects Left Out

19. DTCC shows an example of a smart contract automatically liquidating member portfolios with no human interaction.
20. After a short aside promoting central bank digital currencies (collectively, "CBDCs"), DTCC's agent explains that the "smart contract will automatically unwind this position in 4 hours."
21. DTCC explains at least three times how they would like to have a central bank digital currency.

For further dialogue, I encourage staff to view remarks from respected community member Chives, *available at* https://x.com/i/spaces/1ZkKzYnYqkDxv/peek.

III. Brief Summarized Organizational Association

Much of our work stems from the unique structure and regulation of American securities markets. For reasons I still barely understand, a whole lot of other people just can't stop wondering about our market structure—namely, how to make it actually work. As a permissionless global community, we receive lots of feedback through our public forums from international investors.

One such insight stemming from these discussions starkly digs into my mind at night. Briefly, across the pond, transfer agents must legally disclose that nominees are responsible for paying their investors in the case of insolvency, not the issuer's agent.[134] We believe more Americans would take advantage of the DRS if they understood this custodial implication.[135]

III.A. Personal Background Which Relates

When I was a child in high school, I began researching the stock market out of a mix of curiosity and fascination. At the time, I was working a minimum-wage job at Subway, devoting every spare weeknight or weekend to making sandwiches. Without a car, I'd walk about half an hour to and from the store for my double shifts when my mom was caught up at work.

This went on for a year as coworkers came and left, yielding nice friendships but minimal wealth. In the fleeting moments I had between classes and later athletics, I turned all my spare attention to our great investing industry, because it promised a financial future I could define. Even small portions of my modest paychecks back then had the chance to grow into so much more through the markets.

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of insights from this post and discourse on 11 Jul 2023, I would like to highlight a key quote to staff: "clearing has remained the same analog, batch-process-driven industry for the past 20+ years. That translates to increased risk, additional cost and an overall inability to meet the needs of today's financial institutions."

115. *Id. See also* remarks of a prominent retail investor advocate in the early 2000s, noting that twenty years ago, the corporation had "such a tight monopoly on trade settlement" largely because it "is a self-regulatory agency run by the very firms in question for Naked Shorting" which today govern the OCC, *available at* https://www.sec.gov/files/rules/sro/dtc200302/depatch030403.txt. I believe it's worth highlighting the hubris empowering certain self-regulating CCPs, as exemplified by several commenters highlighting that this particular SRO released statements saying they could do what they asked permission to do in the proposed rule change months before even submitting such amendment to the Commission. I respectfully submit to the Commission that it may hinder the competitiveness of our American market system and associated economy if an institution subject only to credit limitations "continues to allow a never-ending summation on the float of a company."
116. *See, e.g.,* uncertainty and standardization in the reporting of Direct Registration System holdings at one well-known issuer, *available at* https://www.drsgme.org/drs-reporting. A third-quarter 2022 filing states a specific number of shares "directly registered with our transfer agent." *Compare* this specificity to the "held by record holders" language used in reports thereafter. Should the DTCC's FAST agreements be required to delineate directly registered shares?
117. The public for-profit corporation with dominant control over American on-ramps to crypto.
118. *See* 23 Civ. 4738 (S.D.N.Y.) ECF No. 1, *available at* https://www.sec.gov/files/litigation/complaints/2023/comp-pr2023-102.pdf.
119. The particular representative may have had a syntactically different but functionally similar title. My memory does not fully serve me on this granularity, and I did not format my physical notes in an electronic archive back then. For time, I will defer from finding a recording link, but staff can obtain one in reference to recorded sessions now kept in a proprietary data storage system, *available at* https://structuredfinance.org/resources/sfvegas-2021-sessions-now-available-for-replay. *See also* decentralization discussion in the same

Robinhood was one such pathway that promised access to our great capital markets. But that platform failed to execute trades for me over the years, failing to function at crucial times.[136] Experiences like these are common throughout our community, and they bring into immediate light regulatory discourse during the broker's IPO. I find the questions raised here deeply intertwined with today's crypto challenges revolving around custody.[137]

Our NMS should protect investors, but often for-profit brokers intertwine holdings with their own custody businesses. These firms bear fiduciary responsibilities to their investors, introducing the conflicts of interest so debated in past discussions.[138] I propose a different system, devoid of such middlemen, operating alongside existing market rails so that investors keep all their savings and retirements.

This is not to detract from the material progress we've made in decades past. In just one brief lifetime, we've seen our great nation's market system attract and expand to households from all ends of society. While only the affluent and wealthy might have had access to the securities of a distant physical past, today's most meager investors can trade on a fair playing ground with the same opportunities for growth.[139]

Or at least, it's supposed to be a fair equivalency, but very few investors hold legal title to their portfolios. Because I was only 16 after months of researching the market, brokers wouldn't extend an account under my name. Thus, I made early trades under my parents which shaped my undying passion for efficient securities markets.

An investor's portfolio shouldn't be outside of their custody, and it doesn't need to be anymore with modern technology. I dream of a nearby future where stocks are registered and owned outright in your own name. When you pay good money to a seller, shouldn't your portfolio be your own property?

Unfortunately, no matter your age, today's market does not deliver legal ownership in any regard, and especially under the UCC. Indeed, it hasn't been the case since the unintended monopolization of the clearing and settlement market many decades ago, despite both the Commission's and Congress' best efforts.[140] As staff understand fully,[141] this reality has narrowly averted public catastrophe for decades.[142]

III.B. Educating Work Previously Executed

Wall Street stunned our community when they unilaterally seized our ability to acquire a public security subject to no restrictions by the Commission. From this shock, our driving and unwavering objective centered around understanding the "Rube Goldberg" machine Congress expects staff to effectively oversee on a daily basis. The further many community members dove into market structure, the clearer it became that its reliance on a single fallible party exposes all investors to significant risk.

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year with participation from another ATS which has not had its registrations shelved, *available at* https://youtu.be/DGhZcFbbJik.

120. *See* note 1 in personal profiling history, *available at* https://wooten.link/723.

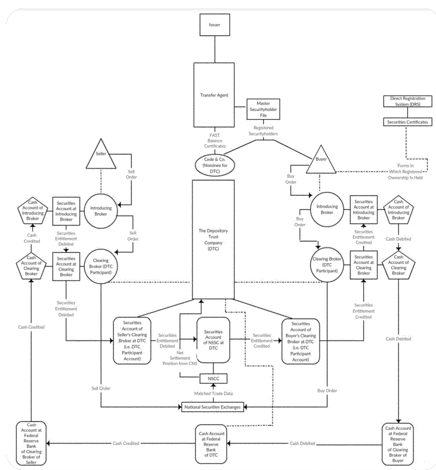
121. Some of this activity was required because Coinbase chooses not to submit brokerage-style transaction reports to the IRS. Others resulted in my previously communicated use of unregulated exchanges, which served as the only point of access available to certain markets. And still many more, including transactions reported for the Syndicate, arose from the nature of decentralized exchanges, which cannot effectuate cost-basis or capital-gains reporting to the government given their lack of a financial intermediary. *See also, relevantly,* Commissioner Gensler's pragmatic remarks on taking a nuanced, practiced, and mature approach to regulating such protocols, *available at* https://www.sec.gov/comments/sr-occ-2024-001/srocc2024001-474471-1355754.pdf n.46.

122. *See, e.g.,* unexpected account termination at an institution largely influenced by Coinbase and its infrastructure, *available at* https://x.com/JFWooten4/status/1814252066300207611. I have had similar experiences with corporate accounts at Coinbase whereby they would comprehensively approve my business given complete and full entity disclosures, only to remove such authorization as soon as any meaningful transactions process on-chain. This experience reminds me of a banking institution that found cause to investigate my corporate account after a transaction well below the Suspicious Activity Reporting ("SAR") threshold. After I did not answer their phone calls for 48 hours, they closed the account with a significant history of operating as the day-to-day treasury funds for team members. Upon later contacting this institution, they told me that the account was closed because I "walked into a branch and requested so." This did not occur, so I asked the account representative to check back with their team. Approximately two weeks later, we had another call where this employee reaffirmed that I physically closed the account in a local branch. However, this would be impossible because I was on holiday in Switzerland at the time of the alleged visit, and this bank did not have any branches in Switzerland. Does the Commission believe transactional oversight should extend so far as to terminate one's ability to participate in the financial system just because their phone does not have signal in a foreign country?

Since this awakening, we've made every effort to share and collectively inform the public about the material difference in ownership rights under direct individual securities registration, as compared to street-name registration.[143] Historically, the Commission specifically responded when "many firms were thinly capitalized" under an SRO structure that was "unprepared" with outdated systems that "were essentially the same as those utilized" a decade prior.[144] We hope that ongoing rulemaking will continue weighing the present risks of securities entitlements held through a central clearing counterparty and subsequent centralized depository nominee, an overarching market structure common across nations and commonly entangled with a net settlement system (the "Custodial Structure").[145]

As the Commission knows, this led to one nominee owning virtually all American securities once DTC organized its nominee Cede & Co. over five decades ago.[146] Namely, the concentration of nearly all investment assets into a *partnership trust* presents unworkable conflicts of interest in the expansion of collateral lending facilities, be they direct or implicated by operational policies.

This point will become more readily apparent as further evidence documents in this comment. One key public article detailing the centrality of this fact exists on our website: *"The DTC/Ceding Ownership – Choice without a Choice."* As the Commission knows, our great American capitalist system relies on voluntary exchange of goods and services. Issuers cannot avail themselves of this basic benefit of free markets because there exists no competitor to DTCC. In fact, such a proposition has been coercively deemed unactionable by some of our nation's leading "Too Big to Fail" banks. We sincerely appreciate staff highlighting these facts in an exceptionally revealing image from the concept release at 45:



123. *See* the intermediary's S-1 direct listing disposing of at least 14,967,757 million insider shares for approximately $5.72 billion from public markets, *available at* https://www.sec.gov/Archives/edgar/data/1679788/000162828021005373/coinbaseglobalincs-1a2.htm. The filing uses the phrase "a more fair, accessible, efficient, and transparent financial system" at least three times as generally promoting an open network for the world. At 121, they also tout traditional banking services "from offering compounding rewards on savings that pay out by the second to compensating users for virtually completing tasks through global micropayments."

124. *See, e.g.,* large systemic problems caused by a bottlenecked source of service, *available at* https://youtu.be/VGJkDm0_G-U, https://lnns.co/ZUiKQN58hb2, and https://youtu.be/tLdRBsuvVKc.

125. By this point, I sincerely hope I've established how meaningful this term is in relation to UCC Art. 8. However, I would be happy to speak with staff at any time to continue this explanation if unclear. *See, e.g.,* contact points shared with a Head of Examinations at the New York Regional Office.

126. *See* livestream demonstration at timestamp 34:26. *See also, e.g.,* past discussion on DTCC "Digital Assets," *available at* https://lnns.co/gheDY9sp0aI.

127. *Id.* All parties displayed as test participants in a demonstration involving the simulated liquidation of collateral through an automated smart contract interface.

128. As the community remembers all too well, Société Générale has been at the center of material "unauthorized" financial-crisis-level trading activities which place clearing members at risk of default, or at least non-default losses in a lawsuit sufficient to wipe out a central counterparty. *See, e.g.,* GFC loss by one rogue trader which totaled five times the requested tri-party credit limit by the OCC, *available at* https://youtu.be/8KULmxz97mM. *See also generally* remarks from the trader who brought down Barings Bank in 1995, *available in film adaptation at* https://youtu.be/SclDzvDWrds?t=4474. Should we rely again on an "extraordinary emergency meeting" to save our markets from the illicit actions of a select few?

129. For materiality of agreement type, *see infra* § 2.4.2.

Over the years, we've come to greatly appreciate staff's perpetual diligent efforts to explain these structural nuances to the investing public. I, for one, would have had to pay many hundreds of thousands of dollars in either collegiate expenses or legal fees to comprehend information made freely available through Commission rulemaking, interpretive actions, and public statements. For these grand efforts by your many teams, I sincerely appreciate the immense decentralized power of securities regulation through direct acting agents. Might the present system of increasingly singular execution chokepoints for stock trading directly limit our democracy's ability to govern intermediaries? Namely, can we truly oversee an institution so opaque yet irreplaceable that the select few at its helm decree credit policy so central to market operations?

III.C. Our Other Burgeoning Views

In the last ten years, certain blockchain technologies have emerged through the work of no central solicitor. Indeed, communities themselves both spawn up around the promise of these innovations and actively participate in building their future successful implementations. This work removes the need for centralized trust and explicitly obviates the function of DTCC and its subsidiaries. In a book profiling the DTCC at the brink of the Great Recession, the corporation's founding CEO wrote:[147]

> I thought throughout these years that as much as I despised monopolies, a DTC monopoly would be benign. Why? After all, monopolies tend to raise fees to customers unduly, let products or services slide in quality and ignore developing services for small customers... All of these developments, along with user desires that DTCC expand its capabilities in order to reduce financial firms' costs and risks, produced a DTCC that is now larger and more complex than the sum of its former parts at the time of their consolidation.
>
> — William T. Dentzer, Jr.

More and more, today's investors do not trust in either the DTC or its largest members' solvencies, as we have hopefully shown at this point through discussing the very thinly capitalization of critical CCPs.[148] Should the Custodial Structure face any shortcomings in operational liquidity, Cede faces not only the very real prospect of failing, but also a pre-existing central plan for "bankruptcy replacement" by another surviving Custodial Structure. Such a course of action would immiserate hundreds of millions of custodial investment accounts.

To prevent this blatant theft, there appears to be no alternative course of action than the migration of securities holdings onto a blockchain and, specifically, the Stellar network.[149] I would like to submit this point to the

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130. *See generally* governance of The Empire, *available at* https://www.westga.edu/assets/university-college/docs/siss/Sitss122.pdf.
131. *See, e.g.,* claims *supra* note 39, *available in film adaptation at* https://youtu.be/dk3AVceraTI.
132. Presentation at 1:01:18. Timestamps throughout reference a local recording of the content, *available at* https://youtu.be/ybMvyDjziNw.
134. *See* Regulation (EU) No 909/2014 of the European Parliament on central securities depositories, art. 38(6), 2014 O.J. (L 257) 1.
135. For instance, Warren Buffett once wrote that investors should "be sure to have your stock registered in your name" after failing to receive shareholder donation requests from entitlement holders, *available at* https://www.berkshirehathaway.com/letters/1981.html. In this charitable act to donate corporate profits to nonprofit causes, it took Berkshire's largest broker three weeks to forward the notice despite billing "for mailing services within six days of that belated and ineffectual action." *See also* remarks from Commissioner Peirce supporting blockchain technologies as a solution to the convoluted securityholder communication structure present in the Custodial Structure, *available at* https://youtu.be/6wUzE9ynIjI. Might a pioneering digital, verifiable, open proxy system through transfer agents best keep investors connected to the issuers they support?
136. *See supra* note 81 detailing trading restrictions from operational inadequacies. These experiences include services being "unavailable" during market hours when trying to sell securities.
137. *See, e.g.,* California bill purporting to support self-custody rights by enacting a new framework to escheat assets held by custodians controlling property interests therein, *available at* https://legiscan.com/CA/bill/AB1052/2025. Rather than granting investors direct controlling private keys to their investments, the proposed legislation here and elsewhere defers to existing banking interests. Do we really need more laws protecting their entrenched business models, when Wall Street's legacy infrastructure threatens our prosperity?
138. *See* staff clarification questions into the business model and custody rights of users, *available at* http://sec.gov/Archives/edgar/data/1783879/000000000021006480/filename1.pdf#page=7. Robinhood responds firstly with their reliance on a general Bitcoin "industry whitepaper" to determine that users certainly own their cryptocurrency in the event of default, *available at* https://www.sec.gov/Archives/edgar/data/1783879/000162827921000323/filename1.htm p. 15. After glancing over insolvency custody,

Commission today but make no further technical elaborations in this letter. In coming to this conclusion, I have extensively contemplated alternatives since my foray into Web3 research and development eight years ago. Four years ago, I began building an open-source alternative to the Custodial Structure on this blockchain. This system was materially ready for public deployment upon the submission of my first letter to the Commission two years ago, albeit canonically.

Now, I am writing to you on behalf of WhyDRS, a decentralized unincorporated nonprofit association ("DUNA") of thousands of individual investors. We are both the first American DUNA and a recently-approved IRS public 501(c)(3) charitable organization.[150] We sincerely appreciate staff's diligent efforts over the past few years of our collective outreach.[151] It is a beautiful and appreciated reality that our incredible American institution provides a publicly accessible way to submit issues for public comment, and assurance that those submissions will not only be displayed publicly in kind but that they will be reviewed and considered by bright financial minds.

Our Association stemmed largely from the unprecedented shutdown of market operations on 28 Jan 2021.[152] I believe in the capacities of our regulatory system to innovate and promote the three core tenets of the Commission's mission. However, four years later, our great financial system still faces a well-known sweltering threat able to subvert even the most prudent rules set by this great Commission.

I will defer from citing the Commission's public censures thereof in deference to the larger structural challenges more pressing given the present heights of our market. A central counterparty is only a piece of a larger centralized financial system, a superstructure which I believe enables the complexity, opacity, and obfuscations so pressing to masses of investors without Bloomberg Terminals. Commissioner Gensler was pushed on this point in an interview a year after the peak of community interest and price action in a select few securities.[153] Might our online efforts "outside of the bureaucracy" help define a new trading and settlement regime rooted in quality capital formation, fair and efficient markets, and protecting our own orderly activity?

This has been my oversight vision ever since I started working on the TAD system previously communicated and widely available via free software code online.[154] As shown by the upward trend of staff in the last few decades,[155] regulating our vast markets for capital is an exceedingly complex job. This function will only get more difficult as larger swaths of the population become investors given the need to build real savings and retirements through financial assets. Additionally, I question our present legal system's ability to protect international investors entrusting their capital into American enterprises.[156]

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the firm explains how they "receive activity-based rebates" for "cryptocurrency transactions" despite not reporting such activities on Form 606.

139. *See, e.g.,* introduction of fractionalized, custodied shares which Robinhood classified as securities entitlements under the UCC, *available at* https://www.sec.gov/Archives/edgar/data/1783879/000162827921000280/filename1.htm. Note 4 clarifies the treatment of investors' ownership, dividend, and voting rights under UCC Article 8, which is the chief policy section referenced when I refer to State laws. I share staff's concerns over whether investors are entitled to these rights only by contracts with the business, as first posed in the first registration response at ¶ 1, *available at* https://www.sec.gov/Archives/edgar/data/1783879/000000000021004976/filename1.pdf.

140. *See* the Securities Acts Amendments of 1975 promoting industry competition, mentioning it positively twenty times, *available at* https://www.congress.gov/94/statute/STATUTE-89/STATUTE-89-Pg97.pdf. *See also* speech from Commissioner Philip A. Loomis, Jr. at an adoption conference hosted by two prior self-regulatory organizations ("SROs"), *available at* https://www.sec.gov/news/speech/1975/111875loomis.pdf. "Fair competition is stated as one of the primary objectives" from the Commission's perspective, and "the scheme of governmental securities regulation itself" was being updated to "prevent industry organizations from behaving in an anti-competitive way."

141. *See, e.g.,* staff's reference to the Pollock Study, one of the first documents referenced on naked shorting, *available at* https://www.govinfo.gov/content/pkg/FR-1999-10-28/pdf/99-27879.pdf#page=3 n.22. Despite being cited *supra* note 11 as a "famous" study inspiring one of the most iconic Haverford publications at the brink of the GFC, our community has been unable to locate such document after extensive study, including outreach to FINRA itself, which commissioned the work. Accordingly, we respectfully request the Commission share this study. In accordance with 5 U.S.C. § 552, WhyDRS will pay $1,000 for this request. As a 501(c)(3) public-benefit nonprofit, might staff add a fee waiver since this document adds so much to the public knowledge of market settlement? This request neither requires expedited service nor is primarily in our commercial interest.

Hopefully, we can overcome these challenges together over the years with a proactive governance scheme embodying the Commission's public objectives. Might now be the time to take action on the years of work built by industry innovators since the advent of widespread blockchain technologies? Namely, so much of my past work entailed codifying present securities distribution and holding laws into a decentralized protocol. This system builds on thousands and thousands of hours of work made freely available through blockchain networks. Given the auspice of our present Administration to promote these developments, perhaps this is the time to prepare ourselves with a backup market system rooted in efficiency, transparency, and honesty.

Some of our most concentrated financial institutions will attack this proposed free transaction scheme. They probably have a fiduciary duty to do so, which is fine. Certain DTC employees stopped speaking to me long ago. Indeed, even my laundry machine is older than the proposed blockchain network.

I've sunk my life into discovering the most efficient system, and I plan to explain the logic of this choice in another letter.

III.D. Collective Solution from Shared Community

Since the start of our research and development into the Custodial Structure, all local efforts came from volunteers. Individual investors en masse contributed selflessly—whether it was a few hours parsing legalese showcasing abundant naked shorting[157] or many days absorbing years of market research[158]. This decentralized collaboration led to our present DUNA structure, whereby all communications take place in the open and public light of transparency, a trait direly needed in today's markets.

This aligns directly with the blockchain solutions staff contemplate as either a replacement for the Custodial Structure or implementation of a TAD system across private and public markets[159]. The founding ethos of these decentralized digital ledger networks perpetually centered around "allowing any two willing parties to transact directly with each other without the need for a trusted third party."[160] However, the entire Custodial Structure revolves around trusted third parties—some so systemically important that banking regulators deem them too big to fail.

To sum, we are building on top of well-defined cryptographic norms of both collaboration and transactional custody, defining a system that brings everyone onto the same market playing field. This work introduces a sorely needed working alternative to the linchpin single custodian entrusted with practically all American securities, as more and more investors demand direct custody of their investments. I will not elaborate extensively on this technology yet, as I find its principles to be our greater concern given the looming safety holes in the Custodial Structure.

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142. *See, e.g.,* an instance where an investor bought and held "1,285,050 shares in [an] OTC bulletin board property-development company... [which] had only ever issued 1,158,064 shares" and continued trading dozens of millions of shares a day in volume, *available at* https://www.euromoney.com/article/b1320xkhl0443w/naked-shorting-the-curious-incident-of-the-shares-that-didnt-exist. Later in the investigation, a DTCC agent claims full withdrawal of shares like these from Cede "would paralyze our capital market system" due to the presence of "legal naked short selling" which create "shortages." *See also* a public-safety technology firm which receives ten figures annually from our great Nation, reporting a "large disparity in legally issued and outstanding stock in TASER (approximately 61 million shares) versus... over 82 million votes recorded" at an AGM, *available at* https://www.sec.gov/comments/s7-12-06/dklint7619.pdf#page=2.
143. While "Wall Street name" is a relatively well-known concept today, the concept release first introduces the term in note 45 related to the cited "Unsafe Practices Study" for Congress, *available at* https://www.sechistorical.org/collection/papers/1970/1971_1201_SECUnsafe_01.pdf. At 29 therein, staff authors contemplate the failure of businesses "under a capitalistic system" before the widespread development of brokerage capital requirements.
144. *Id.* On the very next page of this document, staff write that "Treasury funds which are available in the event they are needed to accomplish the goals of SIPC are not an inexhaustible amount" and ultimately originate from taxpayer dollars. Does the Commission plan to exhaust any required SIPC funds in the event of a clearing agency failure, especially given their particularly thin capitalization as compared to the assets they hold?
145. *See also* reference to this market structure as a "CCP regime" by various world government regulators such as the European Securities and Markets Authority, a group that used the term in at least three final technical reports from 2013 to 2017 and ultimately codified it into an adopted regulation amendment with nearly three dozen mentions of the regime, *available at* https://eur-lex.europa.eu/legal-content/EN/TXT/?uri=CELEX%3A52017PC0331&qid=1738728760923. *Compare* to further academic references using the term by Dr. jur. Yuxi Li, who expresses grave concerns over "conflicts of interests in the corporation" in 2019,

III.E. Open Source Community Goods

Sluggish financial intermediaries are no surprise to our community. Many international investors have needed their share-registration information tediously verified by legacy middlemen. One close friend spent months just configuring an account because of physical mail confirmations sent across the globe to reach their country, despite internet service.

I started drafting this letter in true form after an opening community discussion[161] in our growing public GitHub collaboration system. Thereafter, we discussed the contents and implications of these policy amendments in depth.[162] More broadly, we've been discussing the necessary structural changes and adoption plans for the better part of a year in our collective Discord server, as is additionally common in modern blockchain development groups.[163]

Indeed, we've produced a mountain of pioneering research, actively clarifying meaningful ownership concepts[164] alongside the Commission's helpful stewardship. Remarkably, as someone new to the community these last couple of years (canonically), all this action took place with no central coordinator, no compensation mechanism, and no legal offices. We live in a very different time than the days past when our current systems originated.[165] Pioneering staff, given today's burgeoning environment, might now be the time for a new and tested system?

Regardless of the risk surrounding SROs, millions of American investors risk the insolvency of transfer agent nominees—or third-party administrators, as the case may be. Given the frequent and complex relationships between such custodians and broker-dealers, any mishandling of securities lending practices could place the most direct form of employer-sponsored retirement savings in risky hands. Given that Wall Street has been known for decades to mismark short positions as long, do staff believe that nominee administrators' model of grabbing investor services "at no charge or for a modest fee"[166] can sustain the bookkeeping prudence costs associated with largely state-overseen holding compliance?

Our shared developments over the past few years have shown just how efficiently online forums and collaborative working tools can organize otherwise disparate individual investors and financial-system advocates. With this basis, we can directly, specifically, and immutably process thoughts and inspirations into production codebases handling material value—such as Bitcoin.[167] Given that DTCC has recently proposed a TAD-like collective securities ownership framework, we respectfully submit that any such system should be required to be open-sourced under a copyleft free software license to foster collective collaboration.[168]

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available at https://ediss.sub.uni-hamburg.de/bitstream/ediss/8178/1/Dissertation.pdf#page=114. Even Dr. Steven McNamara, J.D., uses the term in a 2014 paper defending the concentration of risk into a single entity amidst a growing derivatives complex, *available at* http://scholarship.law.nd.edu/ndjlepp/vol28/iss1/6.

146. *See* Concept Release note 87 referencing Senate Doc. 93-62, with publicly archived copy available at https://www.scribd.com/document/329172045/Senate-Doc-93-62-Title-Acknowledgements-Intro.

147. *See The Depository Trust Company: DTC's Formative Years and Creation of The Depository Trust & Clearing Corporation (DTCC)* from YBK Publishers. In discussing new laws to allow Cede ownership, "DTC enlisted regulatory agencies, legal bodies, industry associations, and others to make these changes, with growing success in the late 1970s."

148. *See* remarks of Donald F. Donahue, then President and CEO of DTCC, in the foreword to *Financial Shock: A 360° Look at the Subprime Mortgage Implosion, and How to Avoid the Next Financial Crisis* by Mark Zandi, with preface by Jeanne M. Dentzer, *available at* https://www.worldcat.org/title/financial-shock/oclc/861693009. Donahue acknowledges the role DTCC played in "risk mitigation" but simultaneously concedes the need for "increased transparency" and admits that the post-trade infrastructure is "largely invisible to the public."

150. *See* community conversation on the new DUNA filing process and years of past self-organized work, *available at* https://lnns.co/0PuFl1TZzWe. <!-- a quote here would be nice -->

151. *See, e.g.,* the NSCC Rule 801 petition withdrawal, reflecting constructive responsiveness to public comments in the face of historic retail advocacy, *available at* https://www.sec.gov/rules/sro/nscc/2023/34-97631.pdf. *See also* the OCC's voluntary rule withdrawal from SR-OCC-2023-801 amid heightened scrutiny, *available at* https://www.sec.gov/rules/sro/occ/2024/34-99471.pdf. Additionally, EDGAR modernization proposals have exemplified bipartisan concern over accessibility and transparency, including staff initiatives aligned with principles of the National Cyber Strategy, *available at* https://www.sec.gov/news/statement/uyeda-statement-edgar-modernization-021424. These developments—alongside efforts from both

I really don’t see a need to formally acknowledge this because it is a complete joke. That said, I think the competition arguments are apparent, and we can clearly infer the proprietary nature of much of it. The issue stems from the organizational setup: everything in terms of the study was conducted with no notice to the Commission or industry. That’s a larger issue that ties into the whole open-source operations argument (so tackle in a separate location).

See also discussion of the study: https://github.com/WhyDRS/Taking-Stock/blob/main/episodes/2024/Oct/30%3A%20DTCC%20Digital%20Assets%20Study.md and summarized at https://lnns.co/O8NUZfc1KGe.

III.E.1. Extensive Legal Scholar Investigation

> Allowing massive institutions, many of which are worth hundreds of billions of dollars, to have priority over security entitlements belonging to individual investors creates massive distortions in the marketplace that could ultimately hasten a large economic crash. But even if this were not the case, an important question for policymakers remains: Is a system truly worthy of saving if it would happily sacrifice individual investors' wealth to save allegedly too-big-to-fail institutions?
>
> — The Heartland Institute

Don Grande, Esq. co-authored the state action letter cited above and remains a leading advocate connecting grassroots educational work to legislative policy. *Last year*, he also co-authored an article with his wife titled, "You Don’t Own What You Think You Own,"[169] underscoring the disconnect between legal title and actual investor control.[170]

IV. Proposed Decentralized Governance Mechanisms

Largely, I’ve been waiting to see the full Supreme Court review process on *Alpine* before thoroughly investigating and developing infrastructure around these functionalities of the DUNA. Notwithstanding, I find it relevant to make a select few comments based on the existing triumph in the D.C. Circuit.[171]

IV.A. Why It Matters

See supra note 156.

We have a critical need for pioneering governance, as previewed in the introduction of a monolithic discussion, available at https://youtu.be/DW6L2rcEKJM.

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the Republican and Democratic perspectives to strengthen TAR and reduce industry concentration—represent meaningful progress in regulatory responsiveness to structural challenges (*see* note 16, *supra*).

152. *See* two Congressional hearings and a staff report study with wide-standing consequences, *available at* https://www.c-span.org/program/house-committee/gamestop-hearing-part-1/588548, https://www.c-span.org/program/house-committee/gamestop-hearing-part-2/589320, and *supra* note 75; respectively. While few commentators have yet associated transfer agent regulations with these historic market events, I find the items inexplicably intertwined. NSCC and its participants could only halt trading given the lack of a functional transfer-agent self-custody transaction system operating outside the NMS as presently established around the central intermediaries so key in revolutionizing clearing and settlement fifty years ago. Has Congress meaningfully contemplated the structure of our markets after the immense consolidation of post-trade processing into a single holding company made immensely powerful by its constituent self-regulatory organizations ("SROs")?

153. *See* clip from Apple TV programming, *available at* https://youtu.be/0C0Sj6Us19I. This discussion led to extensive dialogue across our community because we care very deeply about the protections availed by our democracy to investors, including a grassroots fundraising drive to send the Commission coffee mugs and beans. *See also generally* research paper from Neal Newman, J.D., identifying how central intermediaries unilaterally disabled market access in order to serve their business interests over trading continuity, *inter alia*, *available at* https://ssrn.com/abstract=4459285. *Compare* investors' decentralized innovative heartfelt action towards staff with "a conscious decision to leave retail investors vulnerable" given a discretionary choice in § V.B to place short-term business interests first.

154. *See infra* notes 173 and 174. I will defer from extended discussion into this work throughout this letter given the larger overarching items mentioned. Notwithstanding, I want to clarify the distinction between this writing and past work at BlockTrans Syndicate ("the Syndicate"). There is no distinction. I plan to continue drafting comments as a participant in both of these legal organizations. It can be generally construed that my remarks henceforth represent my own individual perspective unless I make use of the "we" pronoun, by which I mean to convey a policy or interpretation choice of the representative group submitting comments on a good-faith basis.

> If ultimate economic power is to be placed in the hands of commercial corporation, as is now the trend, democracy will live only in words, not in reality, for corporate governance of such organization is the antithesis of democracy—or of equity and justice, for that matter.
>
> —Dee Hock

IV.A.1. More Reasons Not Explicitly Related to Conway's Law

I agree with the late Visa network founder's thesis: the infrastructure underlying our markets should not lie in the corruptible hands of a select few industry intermediaries. We have witnessed increasing consolidation around the DTCC, resulting in the quiet suppression of transfer-agent innovation.

Now is the time for a new, parallel rail—open to investors seeking direct custody of their investment securities. It is my understanding that the current administration made a promise to shield us from Wall Street's "predatory short selling," a practice that fuels the FTD problem.[172]

As the Commission knows, I am also the founder of a registered transfer agent operating using the public open-source blockchain system described in previous letters. As previously shared, I built this system over the course of many years of technical analysis, regulatory study, and Pythonic implementation.[173] As the primary contributor to these efforts, I retain all shares in the agent and continue to control the licensing framework for the codebase.

I have released the vast majority of the Syndicate's GitHub code under explicitly permissive copyleft free software licenses.[174] This enables any agent to deploy our securities management infrastructure on blockchain rails for fast, accurate, and automated record-keeping—including on-chain restrictive legend removals pursuant to 17 C.F.R. § 230.144. By design, this open-source architecture ensures that the parent agent corporation cannot restrict or otherwise control oversight of agents deploying the permissionless-ethos system.

IV.B. Natural Monopoly Risk

A shared standard akin to NSCC's centralized structure presents very nuanced natural monopoly challenges.[175] I have been studying the pioneering electric-utility engineering and policymaking work of Samuel Insull for years to adequately configure this syndication. Broadly, my chief organization ambitions can be found at https://www.blocktransfer.com/about/values.

Accordingly, it is my intention to donate my shares in the company to WhyDRS, assuming that is something the community wishes to pursue. I am currently evaluating the legal and tax implications of this transfer,

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155. *See, e.g.,* criticism from an organization we have generally found pause with describing the relatively linear growth of the Commission over the past two decades, *available at* https://www.congress.gov/118/meeting/house/116994/witnesses/HHRG-118-BA16-Wstate-BurtonD-20240320.pdf#page=3. The document later claims that "the term SRO is now a misnomer" because such organizations "have more personnel conducting regulatory functions than the SEC and combined budgets roughly comparable to the SEC." As the Commission knows and this report notes, Congress has practically no oversight of these regulators, private agents who've been afforded potentially unconstitutional power governing while "largely unaccountable to the industry or to the public." I affirmed these concurrent sentiments directly with our community last year given developments in a case teed up for the Supreme Court challenging the authority decreed to "the most important regulator of financial services providers," *available at* https://wooten.link/alpine-dc. Surely, staff are familiar with these proceedings, and I provide abbreviated citations for public education and specificity only. My stylized link abbreviations are a temporary measure until we configure certain organizational open-source document repositories, used in place of unreliably hosted servers or excessively lengthy web addresses.

156. *See, e.g., Morrison v. National Australia Bank*, 561 U.S. 247 (2010), where the Supreme Court held that Rule 10b-5 anti-fraud protections do not apply extraterritorially to securities purchased on foreign exchanges, *available at* https://www.courtlistener.com/opinion/149289/morrison-v-national-australia-bank-ltd. *See also City of Pontiac Policemen's & Firemen's Retirement System v. UBS AG*, 752 F.3d 173 (2d Cir. 2014), where the Second Circuit affirmed this limitation, rejecting claims brought by American retirees solely because the securities were acquired abroad, *available at* https://www.courtlistener.com/opinion/8441742/city-of-pontiac-policemens-firemens-retirement-system-v-ubs-ag. These cases leave international and institutional U.S. investors unprotected in globalized markets—an inequity incompatible with decentralized, peer-to-peer trading systems where geographic transaction boundaries blur entirely.

including the treatment of interest under 26 U.S.C. § 1361(b)(1)(B), *inter alia*. Notwithstanding, I plan to detail this transaction in a way that grants the Association binding and enforceable control over the company.

First and foremost, I would appreciate a reply from staff by 26 Feb 2026 regarding the permissibility of a blockchain-based transfer agent being owned by a DUNA. This nonprofit arrangement would mirror existing regulatory oversight models recognized at the federal level.[176] The Commission's response to this proposed gift could materially assist community members in assessing whether to accept the shares. This merger of equals into a public-infrastructure superstructure directly elevates the participatory and reputational stakes for our collective effort to build more efficient, transparent markets.

IV.C. Recommendation #2: Shared Inter-Agent Standard Available as an Open Stock Transfer Protocol

In a Bloomberg Radio interview last year calling for stricter credit oversight of brokerages, Thomas Peterffy emphasized the systemic risk posed by lightly capitalized firms operating within the existing infrastructure. His remarks underscore the need for an industry-wide protocol—shared, auditable, and open—for stock transfers between agents. Such a standard would not only improve transparency and accountability but also reduce reliance on centralized intermediaries whose opaque practices currently dominate post-trade processing.

> A free market economy is the only way to efficiently run a society.
>
> I'm afraid that the markets are becoming overextended, and... a downturn is a very big risk becaue margin balances have been growing very very quickly.
>
> Bitcoin falls, say, 30, 40, 50 percent from one day to the next. There'd be many bankruptcies. The clearing corps would be unable to pick up the pieces, and... all the bad debt would be transferred to the clearing members.
>
> — Thomas Peterffy

Similar to the power held by entities running validators on a blockchain network, administering a shared inter-agent standard would vest substantial influence in its operator. For this reason, the protocol should be introduced initially on a single-entity basis, with layered implications for multi-party governance ("triad implications"). Validators, like transfer agents under this system, are entrusted with transactional

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157. *See, e.g.*, Overstock case documents released by *The Economist* among a plethora of evidence detailing brokers' abuse of central clearing and settlement systems, *available at* https://wooten.link/economist-suit. Our fun learning how these FTDs destroy markets helps fuel a growing passion for an effective and decentralized market system. *See also* select public discourse over the materials in an effort to crowdsource investigations on a peer-to-peer basis, *available at* https://github.com/WhyDRS/SEC-Comments/issues/12.
158. *See, e.g.*, analysis of the largest market counterparty failures during the buy-button event four short years ago, *available at* https://wooten.link/carpet-brief-history. We all independently revolt against Wall Street's immense central control through our understanding of and actions reforming the NMS.
159. *See* concept release note 421.
160. *See* Nakamoto § 1, *available at* https://bitcoin.org/bitcoin.pdf.
161. *See* "Transfer Agent Regulations in the Era of Blockchain" conversation, *available at* https://github.com/WhyDRS/SEC-Comments/discussions/14.
162. *See* one of many weekly market advancement discussions and interviews, *available at* https://lnns.co/_bCOQT1AKdi.
163. *See* "Monopoly Bailout Discussion" as first reference in an extended piece on growing systemic risks, *available at* https://wooten.link/GME. *See also* invitation to join the public server, open to any internet user, *available at* https://wooten.link/join. Staff will need to configure an account and enter the group before viewing the context of the first link and other searchable discussions over this concept release.
164. *See, e.g.*, comments referencing a "due diligence library" with hundreds of original research pieces discussing meaningful operational nuances not known to the markets, *available at* https://www.sec.gov/comments/s7-14-22/s71422-279105.htm, https://www.sec.gov/comments/s7-08-22/s70822-272484.htm, https://www.sec.gov/comments/s7-18-21/s71821-20111377-264966.pdf, *inter alia*. *See also* one particular piece documenting the operational efficiency and custodianship practices of certain agent share purchase plans, expanding operative trust past the bounds specified in concept release § VII.E.2, *available at* https://wooten.link/heat.

integrity—each action permanently recorded and viewable—making public trust and oversight critical.

In support of international jurisprudence, we recommend formally setting a "reorganization record" so other countries may reference a model precedent as they begin to consider their own implementation of TAD3-style investor protections and regulatory roles. This will help codify pathways for institutional clarity, reducing jurisdictional ambiguity and supporting harmonized legal development worldwide.

The proposed system also requires an honest discussion about the economic incentives involved. As more value transacts across a blockchain with native utility tokens, network effect dynamics may influence token pricing and validator power. This must be acknowledged in any transparent evaluation of the system's design. Staff can reference prior public dialogue for clarity, *available at* https://www.youtube.com/watch?v=OrpHfZcywJw&list=PLD_o9ntBnmGam9BuoTr_4cjPOksi1Dl1A&t=92.

22. I would like to additionally disclose that the Syndicate received a $1,000 grant, *available at* https://stellar.expert/explorer/public/tx/f79d283272a2516ae6d778b03e88965ff4a5507af431900e69a85252ade31455, rewarding our submission to a technology hackathon, *available at* https://x.com/JFWooten4/status/1884270368770142288.[177]

23. I would appreciate any feedback from staff as to the legality of the Syndicate or DUNA receiving funding from the SDF.

IV.D. Recommendation #3: Put the Concept Release Out for Comment

In such an interconnected era with profound technological abundance, I see only inevitability in the emergence of a global stock market. I earnestly hope that our great nation will continue leading the forefront of the world's capital market by supporting this work. Do staff agree that now could be our time to find a retrofitted, modern market structure?

What we need, should DTC fail, is nothing short of a completely new (inter)national market system. I find the prospects of such a market controlled by one private corporation bleak. Given past experience showing the centralizing tendency of good clearing infrastructure, this could severely limit the necessary flexibility and openness in the market.

A public-facing concept release outlining these challenges and proposed changes would provide an essential opportunity for feedback from the broader financial ecosystem, including regulators, financial institutions, and the investor community. This input would be invaluable in assessing the impact of any transition away from the current custodial structure, as well as in crafting a solution that fosters transparency, efficiency, and a truly

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Namely, we have confirmed through discussions, conversations, and definitive website "Q&A section" updates, certain operations by a leading transfer agent that allow shares held in a directly registered investor's name to be swept into agent nominee custodianship without due notice or consent, should such an investor enroll in an issuer plan—be it directly shelved on an S-3 or not voluntarily perpetuated by issuers themselves. While the release does mention this option as a possibility for known brokered holdings, I find it materially worrisome given the declared holding of plan-custodian nominee shares in a DTCC/Cede account at a market broker for the sake of accessing trading liquidity.

165. *See* Congressional request 86 Stat. 1586 to reprint 156,000 physical paper copies of the report from *supra* note 88, *available at* https://www.govinfo.gov/content/pkg/STATUTE-86/pdf/STATUTE-86-Pg1586.pdf, assuming double-sided printing. The technologies we have today vastly outmatch the infrastructure in place during the origins (and in many cases, the continuing present operations) of today's SRO monopolies. It is my interpretation, after conversations with a C-suite executive therewith (or closely related thereto), that the promised change and efficiency improvements inherent in transparent and accountable distributed ledger technologies will only come from a grassroots, community-led effort such as ours.

166. *See* concept release at 194. Many in our community are increasingly wary of the centralizing control over these plan holdings given the nature of omnibus intermingling. *See also, e.g.,* comments questioning why a leading public American bank—which disposed of its transfer agency division eight years ago—recently stopped using the purchaser thereof for their own recordkeeping services, possibly due to the jurisdictional nature and enhanced custodianship laws associated therewith, *available at* https://x.com/ValueOrion/status/1883579855620776241.

167. *See, e.g.,* permissionless work audits and online iteration of underlying inter-agent account systems between myself and community members bound by no formal work arrangements, *available at* https://github.com/JFWooten4/DUNA-docs/issues/3. The three links in the first comment reference specific instances of others independently reviewing infrastructure code preparing for release. Without the ability for a public review of an open accounting standard, I respectfully submit to the Commission that we risk material proprietary software

decentralized financial system.

We appreciate the dialogue that has already occurred with the Commission, particularly with respect to clarifying the regulatory framework and exploring new mechanisms for securing investor rights. However, we believe this concept release would better ensure that all stakeholders have a voice in the future structure of our capital markets.

IV.E. Recommendation #4: Save the American Public's Pensions

It would be valuable if staff might consider the remarks of a fellow commenter, *available at* https://www.sec.gov/comments/s7-08-22/s70822-658462.htm (https://www.sec.gov/comments/s7-08-22/s70822-658462.htm). These insights emphasize the importance of safeguarding the integrity of public pensions and addressing the risks posed by current market structures, especially as they pertain to the custodial systems that underpin pension fund management.

As we've seen, the financial system's complexity and opacity can jeopardize the retirement security of millions of Americans. Taking proactive steps to enhance transparency and security in how securities are held and managed, including through decentralized or blockchain-based systems, can help ensure that public pensions remain safe and solvent for future generations.

V. Final Thoughts I Have

The OCC itself has previously filed traditional rule changes for materials it deemed significant enough to "cause or exacerbate such financial instability" (in discussing a GARCH change, *inter alia*), *available at supra* note 44 at 25. If this modification qualified for elevated notice under one of the OCC's two advance■notice filings in the last two years, then I believe staff should apply extreme scrutiny in analyzing the motivations behind this amendment to the arrangement so vehemently criticized by our community.

For example, see remarks from respected community member WhatCanIMakeToday, presented in visual form:

errors should our most crucial financial intermediaries in the Custodial Structure continue ignoring the dominant open-source security hardening benefits freely available through public code repositories. <!-- href here next time with quote from Jerry -->

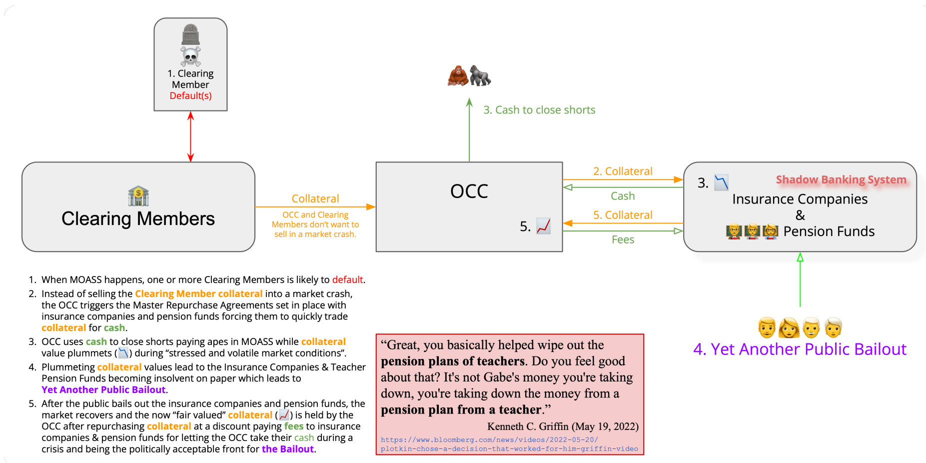
168. *See* DTC study at: https://www.dtcc.com/-/media/WhitePapers/Transforming-Collateral-Management-With-Digital-Assets-JSCC.pdf.

169. *See* remarks of a leading investor advocate on the retirement security implications of UCC Article 8 in the short documentary *You Don't Own What You Think You Own*, *available at* https://youtu.be/Vbr3hfjVOxw. *See also* pending South Dakota legislation at https://sdlegislature.gov/Session/Bill/25204/263148 (note: no audio available as of this writing).

170. *See* Don Grande's article with his wife, a public servant who spent twelve years studying and reforming the pension system in North Dakota, *available at* https://heartland.org/opinion/you-dont-own-what-you-think-you-own. *See also* Heartland Institute's full legislative alert discussing UCC Article 8 reforms, *available at* https://heartland.org/wp-content/uploads/2024/01/1-26-24-UCC-Article-8-State-Legislative-Alert_Final.pdf. Do staff concur with findings that the Article 8 revisions did not do anything to reduce the likelihood of systemic risk?

171. *See* summarized review of trial contents and developments at the end of last year, *available at* https://www.sidley.com/en/insights/newsupdates/2024/11/dc-circuit-enjoins-finra-from-expelling. *See also* a description of the accepted appeal, *available at* https://www.reuters.com/legal/us-supreme-court-allows-finra-proceedings-against-alpine-securities-2025-03-14, where "Alpine said it faced irreparable harm from having to defend itself in FINRA's enforcement proceeding, which it called unconstitutional." While the existing process has made few strides toward this claim and others under U.S. Const. art. I, § 2, I intend to follow the work closely. I sincerely hope the warranted but coercive expulsion detailed in media, *available at* https://altswire.com/alpine-securities-expelled-by-finra-amid-federal-court-fight-over-regulators-constitutionality, is not the end of Docket No. 24A786.

172. *See* sentiments from pending cabinet appointees during prior campaign efforts, *available at* https://x.com/RobertKennedyJr/status/1792970117204287992. Given the material support Kennedy provided toward the administration's



A dialogue of the thought process can be found at https://wooten.link/expanding-liquidity-facilities.

I have been preparing this comment for over a year, and there are more[178] items[179] I would like to include as proof of this impending fraudulent market crisis. However, the events detailed in *supra* § 2 lead me to believe that I can wait no longer to bring these matters to the Commission. Thank you, and God bless America!

To say that this is a pressing issue would be the understatement of the century. Last Friday, a community member called an international broker which owns a New York State-chartered limited purpose trust company. They requested the control number for an upcoming proxy vote because they "didn't receive a control number for them [shares] last year and missed voting them, [and] didn't get one this year either."

If "any share you own you should have voting rights," then this community member is justifiably concerned because, "by not providing a control number, I am worried these 401k shares are being lent without my permission." After chatting with a couple of unique online chat representatives who "join then instantly leave when requesting a control number," this community member resolved to call the particular intermediary:

> Yeah, they said it's not available yet and I should see it in the next 10-14 days. Pretty sure this exact thing happened last year but I didn't follow up and never got the control numbers. Last year was probably more important but I'll be sure to stay on top of it this year
>
> they arent really shares to begin with but entitlements

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eventual victory in its final public-decision moments, might we now fulfill the promise made to our great Nation's individual investors? A commitment to establish "a free and fair market" through "aggressive Wall Street reforms" centered on "greater transparency" could be meaningfully advanced via a blockchain-based securities trading and settlement system.

173. *See* primary implementation of trading infrastructure on GitHub, *available at* https://github.com/blocktransfer/py-TAD3-horizon.

174. *See* community discussion regarding licensing implications, *available at* https://wooten.link/GNU. For continued implementation work, *see also* pending open-source efforts with no termination clauses, *available at* https://github.com/blocktransfer/investor-app and https://github.com/blocktransfer/issuerlink. It remains my express intention to preserve the use of the Affero GPL—or an equivalent copyleft license—for all continuing Syndicate development work, including documentation.

175. *See* documentation from Dr. Dan Awrey, J.D. and Joshua Macey, J.D., detailing the monopolization of market plumbing, *available at* https://www.yalelawjournal.org/article/open-access (https://www.yalelawjournal.org/article/open-access). The authors detail how open-access and interoperability actually hindered the free market for clearing agencies, mandating them to all conform to common infrastructure. *Compare* centralization here to the diverse competitive industry intended by Congress and the Commission *supra* note 140.

176. As communicated with staff on 23 Sep 2024, an interpretation of this and other rulemaking would assist the Syndicate in adequately responding to File No. S7–25–20. *See also* request for additional information left unanswered to an associate director of Trading and Markets three days later. We sincerely appreciate the guidance staff have generously provided us since our first discussion with special counsel of the Division of Corporate Finance on 12 Nov 2022—an esteemed professional cited by a prominent founder scouring for investment capital, *available at* https://hackernoon.com/the-sec-called-about-our-ico-i-answered-8cbbd31568ec (https://hackernoon.com/the-sec-called-about-our-ico-i-answered-8cbbd31568ec); the University of Arkansas for participation in an elite law review symposium on crypto regulations, *available at* https://law.uark.edu/alumni/events/event-lawreview-symposium-2019.php (https://law.uark.edu/alumni/events/event-lawreview-symposium-2019.php); and a respected online community member clarifying individual-investor policy, *available at* https://news.ycombinator.com/item?id=15371100

— Carnabas

In good faith, John Wooten Member, WhyDRS

V.A. Postscript

1. Moving dollars on■chain with a reliance on deposit insurance carries considerable social costs.[180]
2. Paying fees simply to access the financial system feels tantamount to bribing Wall Street for permission to use our own money.
3. *See, e.g.*, community discussion, *available at* https://lnns.co/fE5ZXkHvVeJ. *See also* the observation that "DTCC and the BIS will likely require the central bank and tokenized USD (CBDC) to play a pivotal role in a future tokenized payments and settlements infrastructure" (p. 124 in the document linked amongst other community work, *available at* https://home.treasury.gov/system/files/221/CombinedChargesforArchivesQ42024.pdf).
4. The contents of this letter are made freely available under the GNU Free Documentation License, because Wall Street shouldn't operate behind a veil of copyright protections, *available at* https://github.com/WhyDRS/SEC-Comments/blob/main/LICENSE.

(https://news.ycombinator.com/item?id=15371100).

177. As may be relevant in the future, I have received approximately $227.39 worth of assets from the Stellar Development Foundation (the "SDF"). I received consideration most recently for developer documentation bounties, and staff can review this work in its associated GitHub pull request, *available at* https://github.com/stellar/stellar-docs/commit/a2961ace1761153b5e1b0296bfa59da2648cc0f5. Over the years, I've received other minor rewards for a collaborative online hackathon with my open-source code, *available at* https://github.com/JFWooten4/FCA00C-asteroids. Due to the transparent nature of blockchain financial systems, anyone can permissionlessly view and critique this account activity through a block explorer, *available at* https://stellar.expert/explorer/public/tx/1df8235ead4630006b56d9fb2e9c896cb13b74aacedb6d9fa766129474dcf0ea, https://stellar.expert/explorer/public/tx/9f537d66c78e33fec085ca860924af25888ded4df5a51f3968ef7b888c6063d0 (account validation), https://stellar.expert/explorer/public/tx/e6594e76f58f2b4c030160b5584287446c5e0037f7432d73f7c46559feedf437, and https://stellar.expert/explorer/public/tx/cca6b58d054918a686b3c89da263ee9f2d056dab3a835cda71a3b299ade3bfac, respectively.
178. *See* Francis J. Facciolo, J.D., "Father Knows Best? The 1994 Revisions to U.C.C. Article 8," written after six years of study, *available at* https://www.stjohns.edu/sites/default/files/uploads/facciolo-father-knows-best.pdf.
179. *See* Aaron Wishart on FDIC policy (Division of Complex Institution Supervision and Resolution), *available at* https://youtu.be/zZMKIoI420w; from the FDIC Systemic Resolution Advisory Committee meeting, October 15 2024, *available at* https://www.fdic.gov/advisory-committees/events/fdic-systemic-resolution-advisory-committee-meeting-october-15-2024.
180. *See supra* note 144 for implications of this unsafe practice. Staff back then drew the line to insolvency, and I see nothing but that option today. *See, e.g.*, remarks by Dentzer *supra* § 3.3 for concurrent opinions made public from CCP leadership. In conversations with C-suite executives or past highly related parties, I can publicly state that such views are not uncommon.